

GS FOUNDATION 2024: Governance
HANDOUT 01: Governance/Good Governance
Transparency and Accountability/ Citizen
Charters/E-Governance

General Studies – Paper 2: Governance

Topics

- Governance / Good Governance / Transparency & Accountability / Citizen Charters / E-Governance
- Development Process & Development Industry – Role of NGO's / SHG's & NGO's / SHG's & other stakeholders
- Role of Civil Services in democracy
- Government Policies & Interventions and issues arising out of their design.

Governance / Transparency & Accountability / E-Governance

Themes to be Covered

- Governance
- Good Governance
- Transparency & Accountability
- e-Governance

Governance

- Action or manner of governing a state, organization etc.
- Government Vs Governance
- Stakeholders – Govt., Citizens & Market forces

Governance / Transparency & Accountability / E-Governance

Good Governance

- World Bank Report – “Governance and Development”
- Definition – ‘the manner in which the power is exercised in the management of country’s economic and social resources for development’
- Characteristics – Participatory, Transparent, Accountable, Responsive, efficient & effective, consensus oriented, equitable & inclusive & Rule of law.

Governance / Transparency & Accountability / E-Governance

Good Governance

- Participation
 - ✓ Involvement of various stakeholders in the process of Governance.
 - ✓ E.g., PESA Act, Gram Sabha, MyGov.in etc.
- Transparency
 - ✓ Availability & Accessibility of information to all stakeholders
 - ✓ E.g., RTI, Parliamentary Questions etc.
- Accountability
 - ✓ Answerability to one's act of omission and commission
 - ✓ E.g., CPGRAMS, Social Audit etc.
- Responsiveness
 - ✓ Services delivered in a time bound & appropriate manner.
 - ✓ E.g., Citizen Charter, NDMA etc.

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Good Governance

- **Consensus Oriented**
 - ✓ Policy decisions taken based on consensus
 - ✓ E.g., Parliamentary Committees, Pressure Groups etc.
- **Effectiveness & Efficiency**
 - ✓ optimum utilization of resources in delivering the services
 - ✓ E.g., Citizen Charter, e-governance etc.
- **Equity & Inclusiveness**
 - ✓ benefits of governance should percolate every sections of societies
 - ✓ E.g., welfare schemes; Reservations; subsidies; scholarship etc.
- **Rule of Law**
 - ✓ No scope for arbitrary action by the state
 - ✓ E.g., Rights, Judiciary etc.

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Challenges of Good Governance

- **Corruption**
- **Criminalization of Politics**
- **Centralization / Lack of Devolution**
- **Lack of Administrative Reforms**
- **Growing incidence of Violence**
- **Lack of women empowerment / Gender Disparity**
- **Delayed Justice Delivery**

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Practice Question

1. What do you understand by participatory approach in Governance? Do you think people's participation in governance can lead to Good Governance? Justify with suitable illustration.

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How can Participation of the people lead to Good Governance?

- Right to Information Act, 2005 [Case Study 1]
- Objective: Citizen Participation; Transparency & Accountability
- Important Provisions:
 - ✓ Sec. 4 – Voluntary Disclosure
 - ✓ Sec. 5 – Public Information Officer
 - ✓ Sec. 8 – Exemptions
 - ✓ Central Information commission; State Information Commission; Appeals etc.
 - ✓ Examples of Transparency & Accountability – PDS rationing & Stocks; Better Roads in Bagepalli (Karnataka) etc.

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What are the problems associated with RTI?

- ✓ Poor Public Awareness
- ✓ Delays in Disposal & Vacancies [E.g., PIL to appoint information commissioners & SIC defunct – Jharkhand & Tripura]
- ✓ Exemptions & Legislative Framework [Sec.8]
- ✓ Digital Personal Data Protection Act, 2023 [Denial of Personal Data]
- ✓ Dilution of the law by 2019 Amendment [service conditions to be determined by the center]
- ✓ Rule Making Power [Making Payments]
- ✓ Misuse of RTI Act

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Social Audit [Case Study 2]

- Audit with an objective of measuring the social & ethical performance of a scheme by the beneficiaries.
- Objective – Community Participation, Government Accountability, Social Transformation etc.
- Examples – MGNREGA, 2005; NFSA, 2013; Rights of persons with Disabilities, 2016.
- Audit for Scheme Rules, 2011 (MGNREGA) – Ministry of Rural Development + CAG Office

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Process of Social Audit

1. SAU
2. Identification of VRP's & Training
3. Consolidation of Records
4. Verification
5. Report Preparation
6. Public Hearing of Social Audit

Case Study – Society for Social Audit, Accountability & Transparency (SSAAT)

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Significance of Social Audit

- enhancing awareness among people about their entitlements
- detecting beneficiaries left out
- pinpointing systemic shortcomings
- registering of grievances
- recoding financial & procedural irregularities
- identifying deviation between fact & record

Challenges

- Lack of Institutionalization
- Lack of awareness

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Practice Question

2. "Social Audit is an effective tool for good governance". Comment

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Transparency & Accountability

- Right to Information Act, 2005
- Social Audit
- Lokpal & Lokayukta Act, 2013
- Prevention of corruption Act, 1988
- Whistle Blowers Protection Act, 2014
- Central Vigilance Commission

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Lokpal & Lokayukta Act, 2013

- Objective – establish anti-corruption body to enquire, investigate & prosecute certain public officials & civil servants engaged in acts of corruption.
- Composition
 - ✓ Chairperson + 8 members
 - ✓ Chairperson – Retired CJI or judge of SC or eminent personality
 - ✓ 50% judicial member
 - ✓ 50% - SC; ST; OBC; Minorities & Women
- Selection Committee – (Five-member committee - PM; Speaker; LoP Lok Sabha; CJI or Judge of SC; Eminent person)
- Term – 5 years or 70 years

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Lokpal & Lokayukta Act, 2013

Powers of Lokpal

- Jurisdiction
 - ✓ PM; Ministers; MP's; Central Govt. officers – Group A, B, C & D.
 - ✓ Exceptions – International Relations; External or Internal security; Public order; atomic energy or Space etc.
 - ✓ Unless approved by 2/3rd members of Lokpal

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Powers & Procedure regarding enquiry & investigation

- Inquiry Wing
- Prosecution Wing
- Procedure
 - ✓ Preliminary Enquiry -> Investigation -> Report -> Lokpal -> Permission for Prosecution -> Special Court / Departmental Enquiry
- Supervisory powers – CBI & CVC
- Search & Seizure of Documents
- Powers of Civil Court
- Attach property
- Punish for false/Frivolous/Vexatious complaints

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Limitations of Lokpal

- ✓ No Suo Moto
- ✓ Punishment for frivolous complaints
- ✓ Dependence on Govt. / Govt. agencies – Prosecution, enquiry, establishment of special courts.
- ✓ Central Govt. enormous rule making power – Search Committee; Assets & Liabilities declaration; forms to filling complaints etc.
- ✓ Vacancies (till 2019)
- ✓ Budgetary allocations very limited

Revival of Lokpal

- ✓ Independence [Legislative, Executive & Judiciary]
- ✓ Transparency in appointments
- ✓ Independent Inquiry & Prosecution wing

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Practice Question

3. The Anti-Corruption Ombudsman established by Lokpal Act, 2013 has become powerless & ineffective. Do you Agree?

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Whistle Blowers Protection Act, 2014

- **Who is a whistle blower?**
- **Genesis**
 - ✓ Law Commission of India – 2001
 - ✓ PIL (Supreme Court, 2004) – Whistle Blowers Resolution (Public Information Disclosure & Protection of Informers Resolution) – CVC
 - ✓ ARC, 2007
- **Key Provisions**
 - ✓ Competent Authority & mechanisms to receive complaints
 - ✓ Safeguards from Victimization
 - ✓ Protection of identity of complainant
 - ✓ Penalty of Identity disclosure [3years]
 - ✓ Exemptions [SPG]
 - ✓ Appeals [High Courts – 60 days]
 - ✓ Penalty for false complaints [2years & fine]

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Prevention of Corruption Act, 1988

- **Objective** – Prevent, deter & punish corrupt activities in public office and to promote transparency & accountability.
- **Key Provisions**
 - ✓ Definition
 - ✓ Criminal offence – Bribe taker & Giver
 - ✓ Prosecution & Penalties – Investigate & prosecute; 3 to 7 years; trail within 2 years
 - ✓ Disclosure of Assets & Liabilities
 - ✓ Preventive Measures – Vigilance Mechanism, promoting awareness & education.
 - ✓ Whistle blowers Protection
 - ✓ International Cooperation – exchange of information & mutual legal assistance

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Central Vigilance Commission

- **Objective** – to promote integrity, transparency & objectivity in in country's public administration.
- **History**
 - ✓ established in 1964 [Santhanam Committee]
 - ✓ Statutory Status in 2003
- **Functions & Responsibilities**
 - ✓ exercise superintendence over the vigilance administrations of the various Central Government Ministries
 - ✓ inquire or cause an inquiry or investigation to be made into any complaint received against any official under its jurisdiction
 - ✓ tender advice to the Central Government and its organizations on such matters as may be referred by them
 - ✓ conducts preliminary inquiry into the complaints referred by Lokpal in respect of Gr. A, B, C & D officials
 - ✓ exercises superintendence over the functioning of the CBI insofar as it relates to the investigation of offences under the Prevention of Corruption Act, 1988

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Citizen Charter

- Citizen charter is a voluntary document of commitment of an organization toward standard, quality & time frame of service delivery, transparency & accountability and Grievance redressal mechanism.
- Objective – Responsive & Citizen centric governance
- Genesis – United Kingdom (1991)
- Six Principles – Quality, Choice, Standards, Value, Accountability & Transparency.

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- **Citizen Charter in India**
 - ✓ DARPG – Nodal Agency
 - ✓ Key elements – Vision & Mission statement, range of services, target or client group, Quality of services, expectations from the clients, Grievance Redressal Mechanism.
- **Formulation of Citizen Charter [DARPG Guidelines]**
 - ✓ Formation of task force
 - ✓ Identification of stakeholders
 - ✓ consultation & preparation of draft charter
 - ✓ consideration by core group
 - ✓ modification by ministry / Department
 - ✓ Approval by minister-in-charge
 - ✓ submission and approval by DARPG
 - ✓ Formal release of Charter
 - ✓ Sending copies to stakeholders
 - ✓ Appointment of Nodal officer

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Evaluation of Citizen Charter [DAPRG]

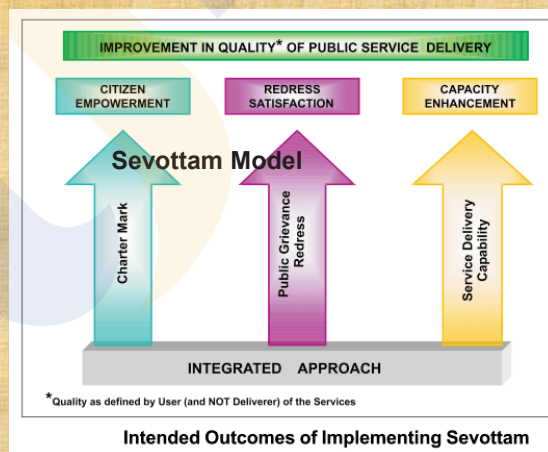
- No consultative process
- Lack of awareness about the philosophy, features & goals of the charter [service providers]
- Lack of publicity & non-compliance
- Lack of finances for training & logistical support
- lack of review & updation
- No Legal Accountability
- Most of them are unrealistic & not formulated in local language.

Recommendations [2nd ARC]

- Consultative process [Bottom up]
- Orientation of staff members & Skill development
- Awareness & Publicity through various means
- Finances for awareness & orientation
- Database for consumer grievances and redress
- Replication of best models (Sevottam Model)

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Sevottam Model



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Practice Question

4. The Citizens' Charter is an ideal instrument of organizational transparency and accountability, but it has its own limitations. Identify the limitations and suggest measures for greater effectiveness of the Citizens' Charter.

Governance / Transparency & Accountability / E-Governance

E-Governance

- Definition
- Stages of Development
- Application
- Advantages
- Challenges

Governance / Transparency & Accountability / E-Governance

E-Governance

- **Definition – Process of carrying out the functions & achieving the results of governance through the use of ICT**
- **Stages of Development**
 - ✓ Computerization
 - ✓ Networking
 - ✓ On-Line presence
 - ✓ On-Line Interactivity
- **Applications**
 - ✓ G2G [PRAGATI; CPGRAMS etc.]
 - ✓ G2E [JEEVAN PRAMAAN – DLC; EMPLOYER CERTIFICATE etc.]
 - ✓ G2C [UMANG App; DBT etc.]
 - ✓ G2B [e-Procurement; e-bidding; MCA-21etc.]

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E-Governance

- **Digital India – The umbrella programme with a vision to transform India into a digitally empowered society and knowledge-based economy by ensuring digital access, digital inclusion, digital empowerment & bridging the digital divide**
- **Three Pillars**
 - ✓ Digital infrastructure as a utility to every citizen
 - ✓ Governance & services on demand
 - ✓ Digital empowerment of citizens
- **Major Initiatives**
 - ✓ Unified Mobile Application for New-age Governance [UMANG]
 - ✓ e-district mission mode project [Birth, Caste, Death, Land Records, Old Age & Widow Pension, Land Records etc.]
 - ✓ Unified Payment Interface
 - ✓ Digi locker
 - ✓ CO-WIN
 - ✓ MyGov
 - ✓ DBT
 - ✓ Diksha

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Initiatives for welfare of farmers

- National Agriculture Market (e-NAM)
- M-KISAN – Farming advisories
- One Stop Window-Farmers Portal – Seed Variety, Storage Godown, Pest & Plant diseases, Best Agricultural Practices etc.
- Soil Health Card – Soil related information to facilitate farmers in farming activities.
- Mobile based advisory system for Agriculture & Horticulture (M4AGRI)

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E-Governance

- Advantages
 - ✓ Greater Participation [RTI, MyGov.in etc.]
 - ✓ Transparency & Accountability
 - ✓ Reduces corruption & diversions
 - ✓ Enhanced accessibility [Health, education, agriculture – Blockchain, Artificial Intelligence, Machine Learning, Cloud computing etc.]
 - ✓ Increased efficiency [reduced cost, time etc.]
 - ✓ use value of information [Citizen engagement; Data Driven Approaches; reliable information within govt, between govt., citizen & business etc. can be used to address localized problems]

Governance / Transparency & Accountability / E-Governance

E-Governance

• Challenges

- ✓ Digital Accessibility & Digital Literacy
 - ❑ Telemedicine, Online education, Livelihood Mission (e-commerce), Financial Inclusion, Govt. Service delivery (DBT etc.)
- ✓ Poor Data Computation & planning
- ✓ Lack of skilled manpower
- ✓ Finances
- ✓ Issues of Cyber security, privacy etc.
- ✓ No Adequate legal framework
- ✓ Lack of continuity in policy & Political will

Governance / Transparency & Accountability / E-Governance

Practice Question

5. e-governance, as a critical tool of governance, has ushered in effectiveness, transparency, and accountability in governments. What inadequacies hamper the enhancement of these features?

GS FOUNDATION (2023-24)

Governance

HANDOUT 02:

Role of Civil Services in Democracy

Role of Civil Services in Democracy

- **Definition** - Civil service is a body of professional full-time officials employed in civil affairs of the state in a non-political capacity.
- **History & Classification of Civil Service**
 - ✓ Kautilya's Arthashastra (Amatya); British Era (1773 – 1935) ; All India Services , Central services & State Services
- **All India Services**
 - **Objectives & Merits**
 - a) Preserving national unity & integrity
 - b) Uniform standard of administration
 - c) Neutrality & Objectivity
 - d) Competence, efficiency & Professionalism
 - **Demerits**
 - a) Against federalism
 - b) Demoralise state civil service

Role of Civil Services in Democracy

- **Features**
 - ✓ Body of professionals
 - ✓ Impartial selection
 - ✓ Regular remuneration
 - ✓ Chain of command
 - ✓ Principle of neutrality & Anonymity
 - ✓ Integrity & Honesty
 - ✓ Respect to code of conduct

Role of Civil Services in Democracy

- **Functions of Civil Service in India**
 - ✓ Law Formulation & Implementation
 - ✓ Subordinate Legislation
 - ✓ Protective Functions & Service delivery
 - ✓ Disaster Management
 - ✓ Administrative adjudication
 - ✓ Link Channel between people & government
 - ✓ Continuity in Governance
 - ✓ Facilitator, regulator & catalyzer of change [Post-Liberalization]
 - ✓ Nation Building

Role of Civil Services in Democracy

- **Key Issues in Civil Service [2nd ARC]**
 - ✓ Insulating civil servants from political interference
 - ✓ Requirement for domain expertise (Specialist)
 - ✓ Lack of Transparency & Accountability
 - ✓ Lack of Citizen-Centric Administration
 - ✓ Process orientation / compliance
 - ✓ Rigid Chain of Command
 - ✓ Poor public service values & ethics

Role of Civil Services in Democracy

Relationship between Political Executive & Civil Servants

- Relationship should be defined by Neutrality [Mr. Patel]
- What does it mean by Neutrality?
 - ✓ Independence of thought & objective
 - ✓ Honest & Objective advice
 - ✓ Speaking truth to power
- Factors that affects Neutrality?
 - ✓ Personal & Party interest
 - ✓ Fear of Repercussion
 - ✓ Lack of values & training
 - ✓ Lack of Pride & Poor Work culture [E.g., Party gate Incidence in UK]
 - ✓ Political & Bureaucratic corruption

Role of Civil Services in Democracy

Relationship between Political Executive & Civil Servants

- Problems associated with lack of Neutrality
 - ✓ Erodes Trust between Political & Permanent Executive
 - ✓ Affects the developmental process
 - ✓ Further perpetuate bias
 - ✓ Erodes civil service values – Integrity; Honesty; Esprit de corps; spirit of service etc.
- Way Forward
 - ✓ Equal responsibility of ministers & civil servants;
 - ✓ Amendment to PCA, 1988 – “abuse of authority or unduly favouring or harming someone”
 - ✓ Cooling off Period [Election Commission of India]
 - ✓ Code of Ethics for Civil Servants [2nd ARC]
 - ✓ Civil Services Board [2nd ARC]

Role of Civil Services in Democracy

How the Traditional Bureaucratic Structure & Culture affects socio-economic development

- ✓ Process Orientation than results [Delay in decision making; policy paralysis]
- ✓ Complex Procedures [MCA 21 Project]
- ✓ Over Centralisation [Rigid Hierarchy – No level Jumping]
- ✓ Size of ministries & Departments
- ✓ Lack of Transparency & Accountability [Official Secrets Act, 1923]
- ✓ Attitude of Master [Glorification of Civil Service]
- ✓ Work Culture
- ✓ Generalist Dominance [2nd ARC – more role to Specialist]

Role of Civil Services in Democracy

Practice Question

1. "Traditional bureaucratic structure and culture have hampered the process of socio-economic development in India." Comment. [2016]

Role of Civil Services in Democracy

Lateral Entry in Civil Service

- Appointing someone into certain position from outside the service

Negatives of Lateral Entry

- Compromising on civil service values
 - ✓ Example – Neutrality, impartiality, etc.
- Spoil System
- Influence by private sector on govt. policies
- Low level efficiency correlated to environmental factors
 - ✓ Example – Political interference, process compliance, welfare orientation etc.
- Lack of field experience

Role of Civil Services in Democracy

Lateral Entry in Civil Service

Advantages & Challenges

- Specialisation & domain expertise
- Foster competitive spirit
- Contractual based employment mayn't attract the best talents.

Recommendations of 2nd ARC

- Institutionalization of lateral entry.
- Domain specific training and experience through deputation to private Sector / PSUs.

Role of Civil Services in Democracy

Civil Service Reforms [2nd ARC]

➤ Capacity building

- Mandatory training at all levels.
- Mid-career training
- Few specialised institutes to be developed through proper infrastructure.
 - ✓ Example – LBSNAA, SVPNPA for Group A officers. ISTM (Institute of Secretariat Training and Management) – for Group B and C officers.
- mid-level management – specialisation/domain specific training
- Deputation to outside government agencies
- Motivating civil servants
 - National Awards for good works.
 - ✓ Example – PM award for excellence in Public Administration.
 - Priority in foreign assignments

Role of Civil Services in Democracy

Civil Service Reforms [2nd ARC]

- Accountability (2 reviews)
 - ✓ end of 14 years of service
 - ✓ end of 20 years of service - compulsory retirement.
- Disciplinary proceedings of Civil Servants
 - ✓ Amendment to Art. 311
- Civil Service Bill should be introduced
 - ✓ Code of ethics for civil servants.
 - ✓ Integrity, impartiality, commitment, accountability, devotion to duty, exemplary behaviour.
 - ✓ Recruitment and service conditions
 - ✓ Independent audit of these recruitment process.
 - ✓ Appointment to higher levels – Central Civil Service Authority (CCSA)
 - Composition: 5 members – including PM and Leader of Opposition.
 - Fixed tenure for all these officers

Role of Civil Services in Democracy

Practice Question

2. Institutional quality is a crucial driver of economic performance. In this context, suggest reforms in Civil Services for strengthening Democracy.

Role of Civil Services in Democracy

Mission Karmayogi [National Program for Civil Service Capacity Building]

Objective :

- aims to transform capacity-building in the bureaucracy through institutional and process reforms
- 'Mission Karmayogi' envisages to prepare Indian civil servants for the future by making them more creative, constructive, imaginative, innovative, proactive, professional, progressive, energetic, enabling, transparent and technology-enabled.

Focus Areas

- Domain Knowledge & Administrative capacity
- Right Recruitment & capacity building
- Specialist to be given more role
- lateral induction of personnel from private sector

Role of Civil Services in Democracy

Mission Karmayogi [National Program for Civil Service Capacity Building]

How will it be implemented?

- Integrated government online training [iGOT platform]
- Evaluation of officers based on the courses
- Assignment of roles & responsibilities

Advantages

- Rule based to role based
- Domain Specific
- Skill to meet challenges of New India
- Adoption of Best practices

Role of Civil Services in Democracy

Civil Services – Continuity & Change

➤ Continuity

- ✓ Meritocracy
- ✓ Rule Orientation
- ✓ Hierarchy
- ✓ Neutrality & Anonymity

➤ Change

- ✓ Delegation of Authority
- ✓ Regulatory Functions
- ✓ Specialisation
- ✓ Contractual employment & Exit

Role of Civil Services in Democracy

Practice Question

3. Civil Services today in India is characterized by both continuity and change. Comment

All The Best!

**Instagram & Telegram :
BABU_IAS_337**



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Governance

HANDOUT 03

Development Process & Industry

Development Process & Industry

Development Process

- All those process that enables change from one state to another in positive direction i.e., capable of bringing positive impact on human life.
- Example – Sustainable development, Protection of Human rights, Social Development, Inclusive economic growth etc.

Development Industry

- All those stakeholders involved in the development process are considered part of it
- Types
 - ✓ State Actors [Govt. Departments, Agencies, Regulators, Commissions, boards etc.]
 - ✓ Non-State Actors [Civil Societies, Social Movements, Community based movements etc.]

Development Process & Industry

What is a Civil Society?

- Civil Society refers to a wide range of organizations like Non-Government Organizations, Community based groups, Charitable organizations, Professional Groups etc.

Classification of Civil Societies

- Registered Societies [Specific Purpose]
- Charitable Organizations & Trust
- Self Help Groups
- Non-Governmental Organizations
- Local Stakeholders Group – Resident Welfare Associations etc.

Development Process & Industry

Non-Governmental Organization [NGO's]

- Definition – NGOs are non-profit, voluntary, Citizen based organizations that functions independently of govt.
- Classification
 - ✓ Nature of work
 - a) Political Awareness – ADR, PUCL etc.
 - b) Human Rights – People's Watch, Amnesty International etc.
 - c) Environmental – Chintan, Green Peace etc.
 - d) Children – Smile Foundation, First Cry etc.
 - e) Women Empowerment – SEWA, CREA etc.
 - f) Animal Rights – PETA, Blue Cross etc.
 - g) LGBT Community - NAZ foundation, Humsafar Trust etc.

Development Process & Industry

Non-Governmental Organization [NGO's]

- **Functions in Democracy**
 - ✓ Bridging of the Gap in Service Delivery [Health, Education, Human Rights, Environmental Protection, Women Empowerment & Social Sectors etc.]
 - ✓ Promotes Participatory Governance [CRY – impacted life of 3 million children; Pratham – child education]
 - ✓ Mobilize public opinion acting as a pressure group [MKSS – RTI, ADR – Criminal antecedents etc.]
 - ✓ Role in Developmental activities
 - ✓ Forum for expression of diverse interest & marginalized sections [NAZ Foundation, PETA etc.]
 - ✓ They ensure Rule of Law, training ground for future political leaders [Aravind Kejriwal etc.]

Development Process & Industry

Non-Governmental Organization [NGO's]

- **Role in Protecting Environment**
 - ✓ Plug gaps in research & Policy inputs [Example – Bengaluru based NGO (Make Bengaluru climate friendly)]
 - ✓ Protecting Bio-Diversity [NGO – Center for Wildlife Studies]
 - ✓ Awareness Generation [Planting trees, Forest conservation, promoting sustainable practices, promotion of renewable fuels instead of fossil fuels etc.]
 - ✓ Implementation at ground [Swachh Bharat; EPA, 1986 etc.]
 - ✓ Public interest Litigation [Pollution related]

Development Process & Industry

Non-Governmental Organization [NGO's]

- Criticism & Challenges regarding functioning of NGO's
 - ✓ Misutilization of funds
 - ✓ Non-Compliance with Laws & Rules [E.g., FCRA rules]
 - ✓ Pursuing vested interest rather than public interest
 - ✓ Against developmental agenda of the country [IB Report – negative impact on GDP 2.3%; Green Peace India]
 - ✓ Lack of trust between Govt. & NGOs [IB Report]
 - ✓ Lack of Transparency, Accountability & Regulatory mechanism
 - ✓ Rise of Fake NGOs
 - ✓ Lack of Funding
 - ✓ Limited capacity of NGOs [HR, Finance & Institutional support etc.]

Development Process & Industry

Non-Governmental Organization [NGO's]

Foreign Contribution Regulation Act

- Objective - regulate foreign donation to individuals or associations in India that has a potential of affecting internal security.
- Who can't receive donations or funds?
 - ✓ Political parties; MP's; Govt. officials; Judges; Media Persons etc.
- Provisions of the Act, 2010 [FCRA, 2011 Rules]
 - ✓ Suspension / Cancellation of Registration
 - ✓ 5 years validity
 - ✓ Separate account to receive foreign funds
 - ✓ ITR mandatory
 - ✓ prevents funds to be used against national interest

Development Process & Industry

Non-Governmental Organization [NGO's]

Foreign Contribution Regulation Act

- FCRA rules, 2015
 - ✓ NGO undertaking – Sovereignty & Integrity or friendly relations with foreign state
 - ✓ Economic Security – Cancellation or Suspension
 - ✓ Prior Approval Category [E.G., Ford Foundation]
- Provisions of 2020 Amendment Act
 - ✓ SBI Delhi, Branch
 - ✓ No Diversion of funds to any person
 - ✓ not more than 20% used for administrative expenses [earlier 50%]
 - ✓ Suspension up to 360 days. [earlier 180 days]

Development Process & Industry

Non-Governmental Organization [NGO's]

- Way Forward
 - ✓ Strict Compliance to FCRA rules & increase grants
 - ✓ Establishment of National Accreditation Council for NGOs [2nd ARC]
 - ✓ Implementation of Accreditation guidelines framed by ministry of rural development [Accounts maintenance; regular Audit; procedure to impose fines; Multi-tier monitoring system]
 - ✓ Increasing awareness
 - ✓ Supportive ecosystem

Development Process & Industry

Practice Question

1. Can the Non-Governmental Organizations present an alternative model of public service delivery to benefit the common citizen? Discuss the challenges of this alternative model.

Development Process & Industry

Self Help Groups [SHGs]

- **Definition** – Self Help Groups are small voluntary informal associations of poor people preferably from same socio-economic background for the purpose solving their common problem through mutual help.
- **Example** – Kudumbashree in Kerala; SHGs in Yelagiri hills of Vellore district etc.
- **Objective**
 - ✓ Encourage small savings & aggregation of capital base
 - ✓ empowerment of poor especially women
 - ✓ promote capacity building and confidence
 - ✓ promote collective decision making
 - ✓ encourage members to take up social responsibilities for development.

Development Process & Industry

Self Help Groups [SHGs]

- **Features of SHGs**
 - ✓ Homogenous Membership
 - ✓ Small membership [15-20 members]
 - ✓ non-discrimination
 - ✓ regular meetings
 - ✓ transparency in functioning
 - ✓ set of rules & by laws
 - ✓ habit of thrift
 - ✓ utilization savings for loans & other activities
- **What is self help group bank linkage programme [SBLP]**
 - ✓ Initiated by NABARD, 1992
 - ✓ Objective – banking & credit services to poor people
 - ✓ how does it work? – credit facility multiple time once they accumulate certain savings [priority sector lending]
 - ✓ advantages – group obligation; low risk; better recovery

Development Process & Industry

Self Help Groups [SHGs]

- **Benefits / Advantages of SHGs**
 - ✓ Financial Inclusion [Rs. 20 crore loans for SHGs in AP]
 - ✓ Social & Economic empowerment [Kudumbashree in Kerala]
 - ✓ Capacity Building [SHGs in Yelagiri hills of TN; Horticulture trade]
 - ✓ Community Development [SHGs in Odisha provide emergency relief to people affected by cyclones]
 - ✓ Reduction in poverty [NRLM]
 - ✓ Improved social mobility
 - ✓ Gender Equality

Development Process & Industry

Self Help Groups [SHGs]

- **Challenges faced by SHGs**
 - **Socio-Cultural**
 - a) Gender Bias [Patriarchal Society]
 - b) Caste Barriers
 - c) Lack of financial independence to women
 - d) Lack of Entrepreneurial spirit
 - **Institutional**
 - a) Inadequate access to credit
 - b) Lack of training & management skills [internal conflicts]
 - c) Poor maintenance of records
 - d) Inadequate support from government
 - e) Lack of skilled manpower
 - f) Lack of transparency & Accountability
 - g) Lack of Technology & Access to market

Development Process & Industry

Self Help Groups [SHGs]

- **What are the various Govt. initiatives?**
 - ✓ SBLP [NABARD, 1992]
 - ✓ Priyadarshini Scheme [women empowerment & livelihood enhancement through SHG's - NABARD]
 - ✓ Grain Banks through SHG's
 - ✓ PSL norms [RBI directive]
 - ✓ Govt. livelihood missions linked to SHGs [SJGSY; NRLM; Deen Dayal Antyodaya Yojana]
 - ✓ Govt. agencies + NGOs [training & capacity building effort]
 - ✓ Mahila-e-haat web-based marketing platform [ministry of women & child development]
 - ✓ State Govt. – Kudumbashree in Kerala; Jeevika in Bihar etc.

Development Process & Industry

Self Help Groups [SHGs]

- **Way Forward [2nd ARC]**
 - ✓ Govt. to act as facilitator
 - ✓ Spatial distribution should be given adequate attention [Southern Vs Northern; Rural Vs Urban]
 - ✓ Promotion of micro-finance institution [Bandhan, Annapurna etc.]
 - ✓ Improve participation [Socio-cultural factors]
 - ✓ Capacity Building [Training, Skill development etc.]
 - ✓ Role of Civil society
 - ✓ Improve marketing facility

Development Process & Industry

Practice Question

2. The emergence of SHGs in contemporary times points to the slow but steady withdrawal of the state from the developmental activities. Examine the role of SFHs in developmental activities and the measures taken by the government of India to promote SHGs.

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GOVERNANCE

INDEX

TOPICS

PAGE NO:

1. GOVERNANCE	1
1.1 ABOUT GOVERNANCE	
1.2 EMERGENCE OF GOOD GOVERNANCE	
2. E-GOVERNANCE	5
3. GOVERNANCE AND 4TH INDUSTRIAL REVOLUTION	9
4. CITIZEN CHARTER	11
5. SEVOTTAM MODEL	14
6. RIGHT TO INDORMATION	16
6.1 ABOUT RTI ACT AND ITS CRITICAL ANALYSIS	
6.2 RIGHT TO INFORMATION (RTI) AMENDMENT ACT, 2019	
6.3 RTI AND OFFICIAL SECRETS ACT	
6.4 MISUSE OF RTI ACT	
7. LOKPAL AND LOKAYUKTA ACT 2013	25
8. WHISTLEBLOWER PROTECTION ACT 2014	28
9. PUBLIC ACCOUNT COMMITTEE	30
10. SOCIAL AUDIT	32
11. PUBLIC POLICY	35
12. NON-GOVERNMENTAL ORGANIZATIONS (NGO)	39
12.1 ABOUT NGOS	
12.2FCRA VS NGO DEBATE	
13. SELF HELP GROUP	45
13.1 ABHOUT SHG	
13.2SHG LEADING TO STEADY WITHDRAWAL OF THE STATE	
14. MICRO FINANCE INSTTUTIONS	50
15. DONORS	52
16. ROLE OF CIVIL SERVICES IN BUREAUCRACY	54
16.1 ABOUT BUREAUCRACY	
16.2 MID-CAREER PERFORMANCE APPRAISAL	
16.3 LATERAL ENTRY ISSUE	
16.4 CIVIL SERVICES BOARD	
16.5 MISSION KARMAYOGI	

GOVERNANCE

Root/Origin of the word Governance:

- Greek = Kubernain;
- Latin = Gubernare means to steer/give direction

Introduction of Governance:

- Governance refers to the processes, systems, structures, and principles by which state direct, control, and administer.
 - Government is infrastructure which enables and facilitates the process of governance whereas governance is the process whereby **various actors work for the welfare of the people**.
 - Governance essential aims to implement policies and programmes for the welfare of the people.
- **Kautilya** said – in the happiness of the subject/people lies the happiness of the king.
- **Mahatma Gandhi** envisioned 'Ram Rajya' as a model of governance for India, this idea involved dreaming of India as a welfare state, focusing on the well-being and progress of the underprivileged and the common people.

Definition of Governance:

- **The United Nations Development Programme (UNDP), 1997, defined governance** as “the exercise of economic, political, and administrative authority to manage a country’s affairs at all levels. It comprises the mechanisms, processes, and institutions, through which citizens and groups articulate their interests, exercise their legal rights, meet their obligations, and mediate their differences.”

Stakeholders in governance:

The stakeholders of governance at national level can be categorized into three broad categories:

- **State:** Includes the various government organs (Legislature, Judiciary, and Executive) as well as their instruments, autonomous accountability structures, and so on. It also includes a variety of actors (elective officials, government executives, bureaucracy at various levels).
- **Market:** includes both the organized and informal private sector.
- **Civil Society:** Non-Governmental Organizations (NGOs), Voluntary Organizations (VOs), media organizations/associations, trade unions, religious groups, pressure groups, and other organizations are included.

EMERGENCE OF GOOD GOVERNANCE

The idea of Good Governance emerged in the late 1980s and early 1990s because of the failure of market-oriented reforms – In Latin America, and East Asian countries. The period of the 1980s and 1990s witnessed two significant trends across the world:

- The rise of **Reaganism** in the 1970s in the US and **Thatcherism** in the 1980s in the UK put more emphasis on the market mechanism for production, distribution, and consumption of goods and services. It proposed a **minimal role for the State. Less government” and “more governance”** were emphasized in this phase. Plea for the **rollback of State**.
 - **India’s idea of minimum government, maximum Governance inspired from this.**

- **Failure of the globalization in the 1970s and 1980s** due to weak global governance, profit maximization tendency of private players, sheer neglect of public welfare, treating citizens as customers, emphasis on “outcomes” rather than on rules & procedures, lack of accountability, the dominance of superpowers etc.
- In 1992, for the first time, the **World Bank formulated the concept of “Good Governance” in its report “Governance and Development.”**
- While Governance deals with collaborative partnership (networking) for effective policy formulation and policy implementation, good governance attempts to make it not just efficient and effective but **more open, accountable, democratic, and responsive to the public.**
- “Good governance is perhaps the most important factor in eradicating poverty and promoting development,” said Kofi Annan.
- In a UNDP Workshop on Governance for Sustainable Human Development (1994), certain characteristics of Good Governance were identified. These include:
 - **Participation:** All men and women should have a voice in decision-making, either directly or through legitimate intermediate institutions representing their interests. Such broad participation is built on freedom of association and speech and capacities to participate constructively.
 - ✓ **E.g:** MyGov- is an innovative platform launched to ensure citizens' engagement in decision making by the Government.
 - **The rule of law:** Legal frameworks should be fair and enforced impartially, particularly the laws on human rights.
 - **Transparency:** Transparency is built on the free flow of information. Processes, institutions, and information are directly accessible to those concerned with them, and enough information is provided to understand and monitor them.
 - ✓ **E.g.** RTI act, Jan Soochna Portal, etc.
 - **Accountability:** Decision-makers in government, the private sector, and civil society organizations are accountable to the public, as well as to institutional stakeholders.
 - ✓ **E.g:** RTI Act, Citizen charter, E-governance initiatives, civil society movements etc
 - **Responsiveness:** Institutions and processes try to serve all stakeholders.
 - **Consensus orientation:** Good governance mediates differing interests to reach a broad consensus on what is in the best interests of the group and, where possible, on policies and procedures.
 - **Equity:** All men and women have opportunities to improve or maintain their well-being.
 - **Effectiveness and efficiency:** Processes and institutions produce results that meet needs while making the best use of resources.

Challenges/Barriers to Good Governance:

- **Lack of Accountability:** The system struggles to hold Civil Services accountable, partly due to complex disciplinary procedures. Employees may become apathetic due to a lack of effective performance evaluation.
- **Red Tapism:** Governments worldwide need to follow rules, but sometimes these rules are poorly designed and cumbersome, hindering good governance. They become rules oriented rather than output oriented.
- **Ineffective Implementation of Laws:** Weak enforcement can cause hardships and erode trust in the government. Even though the Right to Information Act has been in place for 15 years, many cases are still pending.
- **Continuing with Outdated Laws:** Old-fashioned laws don't meet the needs of modern citizens who are more focused on markets and new ways of doing things.

- **Limited Digitalization and Infrastructure:** Government offices using old methods and lacking proper technology and facilities make it hard to ensure transparency and accountability.
- **Attitudinal Problems of Civil Servants:** There's a concern that the Civil Services are inflexible and indifferent to citizens' needs. Political and bureaucratic resistance needs to be eliminated.
- **Low Awareness of Citizen Rights and Duties:** Many people don't know their rights, so they can't hold government officials accountable for mistakes.
- **Criminalization of Politics and Politicization of Crimes:** There's a problem when politics and crimes become intertwined, with politicians engaging in criminal activities or crimes becoming politically motivated.

Critique of “Good Governance”

- **Expertise Over Politics:** Good Governance focuses too much on expertise and technical aspects, sidelining the importance of politics. In developing countries, governance needs to consider social aspects like inclusion, equity, and equality, making politics essential.
- **Neglect of Existing Institutions:** The emphasis on change and reform in good governance sometimes overlooks existing institutions and structures.
- **One-Size-Fits-All Approach:** Good governance is criticized for pushing a uniform model of development on all countries, ignoring the need for context-specific approaches. This is likened to the rejected "one best way of management" approach.
- **Overreliance on Non-Governmental Entities:** Some proponents of good governance overly rely on markets and non-profit organizations, undermining the essential role of the state. Certain crucial activities, especially in developing societies, can only be carried out by the government, such as ensuring justice, equity, safety, and security.
- **Challenge to National Sovereignty:** Good Governance is seen as an infringement on nations' sovereignty, as multilateral institutions like the World Bank pressure countries to adopt their version of good governance.
- **Influence of Capitalism and Neoliberalism:** The philosophy of good governance is criticized for being influenced by capitalism and neoliberalism, as it places significant importance on markets and reducing the role of the state.

GOOD GOVERNANCE INITIATIVES AND INDIA:

India has taken many measures in the achievement of establishing good governance. These are:

- Citizens' Charter
- Grievance Redressal System
- Use of ICT and e-Governance
- RTI Act 2005
- De-centralization (73rd and 74th Constitutional Amendment Act)
- Public Delivery System
- Whistleblower Act
- Right To Time Bound Delivery of Services Bill
- Empowerment Of Marginalized section of the society (Poor, Women, Old-Aged, Specially abled people)

REFORMS AS PER 2ND ARC:

- **Zero Tolerance for Law Violations:** Enforce strict adherence to laws, encourage citizens to follow rules, and use technology to monitor offenses, linking them to incentives and penalties for officials.
- **Empowering Effective Institutions:** Strengthen institutions by providing power, proper structure, and qualified personnel. This ensures effective implementation of the rule of law.
- **Reforming Civil Services:** Improve civil services to be more citizen-centric by focusing on attitude, competence, efficiency, and governance approach. The goal is to make government services more accessible to people.
- **Citizens' Participation and Decentralization:** Involve citizens more in decision-making at the local level. Strengthen local self-government to encourage community participation in governance.
- **Transparency in Governance:** Make government decision-making transparent. Disclose standards of service delivery and operate openly to enhance citizen-centric governance.
- **Single Window System for Services:** Adopt a single-window system for government services to simplify access for citizens. Use technology to streamline processes and make services efficient and transparent.
- **Process Reforms for Effective Governance:** Establish well-designed citizens' charters with penalties for non-compliance. Empower anti-corruption agencies and engage citizens in government processes, supported by legislation like the Right to Information Act.
- **Ethics in Governance:** Uphold ethical standards in society to combat corruption and misuse of power.
- **Evaluation of Governance Quality:** Regularly assess the quality of governance at all levels. Use internal and external independent agencies for evaluation to ensure accountability and improvement.

Good governance, a significant idea in the last 30 years, isn't just about improving government structures but focuses on making positive changes. It aims to make administration transparent, accountable, and open, empowering citizens. While promoting good governance is vital, it alone doesn't guarantee development. Government's role, especially in solving problems and setting the development agenda, is crucial, leading to concepts like "Developmental Governance" gaining importance.

e-Governance

What is e-Governance?

- The role of government is changing from a controller to an enabler but still is responsible for providing certain services to the citizens, just like an organization is responsible for managing a value chain that leads to output.
- The use of Information technology can make the provision of services to the citizen more efficient and transparent and can save costs and lead to a higher level of efficiency. Thus, e-governance has come up as a new buzz word in the service delivery mechanism of the government.

Goals of e-Governance are:

- Better service delivery to citizens
- Ushering in transparency and accountability
- Empowering people through information
- Improved efficiency within Governments
- Improve interface with business and industry.

SMART features of e-governance

- **S-Simple:** Government rules and procedures need to be simplified to make them more user-friendly.
- **M-Moral:** Since anti-corruption and vigilance agencies have improved, officers are being instilled with ethics and values.
- **A-Accountable:** ICT aids in the establishment of performance criteria and the effective measurement of those standards.
- **R-Responsive:** Service delivery that is efficient and government that is responsive to the people.
- **T-Transparent:** Information that was once kept secret is now available to the public, bringing equity and the rule of law in government departments.

Types of Interactions in e-Governance:

- **G2G (Government to Government):** Interactions within the government, either horizontally between agencies or vertically between national, provincial, and local levels. For Example:
 - **E-Samiksha:** It is used by the cabinet secretary and Prime Minister to monitor the progress of projects and policy initiatives, as well as the follow-up activities of different ministries, in real-time.
 - **PRAGATI (Proactive Governance and Timely Implementation):** It is an Information and Communication Technology (ICT) platform existing in the Prime Minister's Office (PMO), that reviews and monitors various Government Projects across the country.
- **G2C (Government to Citizens):** Creating an interface for citizens to access public services efficiently, offering flexible interaction options like 24/7 services, service centers, kiosks, internet, and telephone. For example:
 - **Aarogya Setu** is designed to keep track of other app users that a person encountered. It then alerts app users if any of the contacts tests positive for COVID-19.
 - **Computerization of Land Records** by Department of Land Resources.
 - **Digi locker:** E format of important documents like, e Aadhar, e Ration Card, various E-certificates etc are being issued by the government directly to the citizens, in online mode at Digi locker platform.

- **E-PATHSHALA:** Have high quality, curriculum-based, interactive e-content in 70 subjects across all disciplines of social sciences, arts, fine arts and humanities, natural & mathematical sciences.
- **COVID-19 Vaccine Intelligence Network (Co-WIN)** application: For COVID-19 vaccination drive
- **G2B (Government to Business):** Using e-Governance tools to help businesses interact seamlessly with the government, aiming to reduce red tape, save time, lower costs, and enhance transparency.
 - **SWIFT (Single Window Interface for Trade)** will minimize the amount of time spent interacting with government departments, as well as the cost of doing business.
 - **MCA 21:** the government launched the first phase of the latest update to its **digital corporate compliance portal, Ministry of Corporate Affairs (MCA) 21**
- **G2E (Government to Employees):** Facilitating regular two-way interactions between the government, the largest employer, and its employees.
 - **Sandes messaging application**, as the Government Instant Messaging System (GIMS) is known, is currently restricted to officials from various ministries.

National e-Governance Plan (2006)

- **About NeGP:** Approved by the Government in May 2006, NeGP envisions making all government services accessible to the common man locally, ensuring efficiency, transparency, and affordability.
- **Focus on Service Delivery:** Unlike past 'computerization' initiatives, NeGP emphasizes delivering services directly to citizens.
- **Foundation for Long-term e-Governance Growth:** NeGP aims to establish the groundwork for sustained e-Governance growth, providing the necessary governance, institutional mechanisms, policies, and core infrastructure.
- **Prime Minister-led Oversight:** A body chaired by the Prime Minister is established to set deliverables, milestones, and monitor the periodic implementation of NeGP.

e-Kranti: National e-Governance Plan 2.0

- **E-KRANTI - National E-Governance Plan:** A plan to fast-track e-governance across India, aiming to transform government services by delivering them electronically through integrated systems in various modes.
- **Vision of E-Kranti:** Ensure government-wide transformation by providing all services electronically to citizens through integrated, interoperable systems.
- **Objectives of E-Kranti:** Redefine NeGP with outcome-oriented e-Governance initiatives, expand citizen-centric services, optimize core ICT usage, promote rapid replication and integration of eGov applications, leverage emerging technologies, and implement more agile models.
- **Thrust Areas - Digital India Programme:** Focus areas include technology for education, health, farmers, financial inclusion, planning, justice, security, and cyber security under the Digital India program.
- **Reforming Government through Technology:** A key element of the Digital India program, implemented through E-Kranti. It involves government process reengineering, electronic databases, complete workflow automation, and IT-based public grievance redressal across all government departments.

Potential of e Governance:

- **Fighting Corruption and Ensuring Transparency:** The government's online RTI portal allows any Indian citizen, including NRIs, to easily request information, reducing corruption and enhancing transparency. It limits officials' discretionary powers, preventing corruption.
- **Citizen Empowerment through Information:** Increased access to information, like through apps such as Aarogya Setu and Co-WIN during COVID-19, empowers citizens. Easier access to government services boosts confidence, encouraging people to share thoughts and suggestions.
- **Expanded Governance through ICT:** Expanding ICT tools and communication technology simplifies providing public services. Digital literacy campaigns have enabled millions to benefit from e-governance tools.
- **Timely Service Delivery:** Automated service delivery ensures quick, convenient, and cost-effective benefits for citizens, as is exemplified by IRCTC's real-time data provision.
- **Reducing Loopholes and Leakages:** Making information easily accessible to citizens fosters accountability, reducing loopholes and leakages. DBT in LPG subsidies saved over ₹50,000 crores.
- **Simplifying Processes and Rules:** Simplifying rules and regulations saves citizens and service providers' time.
- **Enhancing Interaction with Industry and Business:** E-governance aims to speed up processes crucial for industrial growth. States using ICT for single-window clearance are improving their Ease of Doing Business ranking.

Challenges in implementing e-Governance Projects in India

Citizen side barriers

- **Digital divide,** which deprives the people most in need of government services from the benefits of e-government due to lack of Internet access or the lack of will or skill to use it.
- **Lack of familiarity:** Potential users are not aware of the existence of e-services due to poor marketing and PR.
- **Not easy to use:** A poorly designed website that is difficult to navigate, slow to load and uses dense bureaucratic language can put off users.

Government-side barriers:

- **Complexity:** The sheer size of government, and the huge volume of data that it must generate, update, and manage online pose major technical and managerial challenges.
- **The Silo effect:** The narrow departmental view often overrides the enterprise-wide perspective. Government agencies are also not well disposed towards sharing data, information, and resources.
- **Lack of user input:** There is a tendency to seek input from only a few experts and top officials without consulting frontline employees or citizens and businesses on what they want.
- **Budgetary constraints:** e-Government requires substantial upfront investments. Moreover, the government's traditional budgeting practices are not suited for multi-departmental, multi-year initiatives such as e-Government.
- **Human resources constraints:** Rigid civil service rules pose hurdles in recruiting, retaining and retrenching staff, and in paying higher emoluments to persons with special skills.

Technological Limitations:

- **Language Support:** My Gov app lacks support in vernacular languages, limiting accessibility for users. E-governance apps need to be in native languages for broader usage.

- **Interoperability Challenges:** E-government applications must ensure interoperability for seamless collaboration between different systems and organizations.
- **Privacy Concerns:** Privacy and protection of personal data pose a barrier to e-Government due to the absence of clear legislation addressing individual privacy.
- **Data Handling and Cybersecurity:** Proper handling and protection of data according to regulations remain challenging, despite protective mechanisms in data centers and private networks.

Steps for Implementing e-Governance Projects:

- **Promote Literacy and Commitment to E-Governance:** Implement a targeted training program for senior public servants, politicians, and IT task force members, tailored to their specific needs and outsourced when necessary.
- **Pilot Projects and Replication:** Evaluate pilot projects in different states based on predefined outcomes, categorizing them as successful or unsuccessful. Replicate successful models for broader implementation.
- **Follow Best Practices:** Study and adopt nationally and internationally recognized best practices in e-Governance.
- **Interoperability Policy:** Establish a clear interoperability policy in the e-Governance architecture, ensuring scalability and adaptability from local to state, national, and global levels.

Measures needed to tackle these challenges:

- **Business Process Re-engineering (BPR):** Technologies offer an opportunity for government process redesign, enhancing services, information reliability, and efficiency.
- **Capacity Building and Awareness:** E-Governance success hinges on capacity building for knowledge and skills. Initiatives like Digital Saksharta Abhiyan aim to create awareness and build capabilities.
- **Developing Technological Solutions:** The India Enterprise Architecture (IndEA) framework drives technological solutions, fostering collaboration across government entities.
- **Effective Implementation:** Periodic independent evaluations and the National Program and Project Management Policy Framework by NITI Aayog and Quality Council of India ensure efficient e-Governance project implementation.
- **Monitoring and Evaluation:** Ongoing monitoring, exemplified by the PRAGATI platform, ensures that e-Governance projects function as designed, maintaining horizontal and vertical accountability.
- **Interoperability Assurance:** The National e-Governance Plan prioritizes interoperability, safeguarding government data, preventing vendor lock-in, and enabling cost-effective application development.

GOVERNANCE AND 4TH INDUSTRIAL REVOLUTION

- The Fourth Industrial Revolution (4IR) refers to the ongoing transformation of traditional industries and the emergence of new technologies that blur the boundaries between the physical, digital, and biological spheres.
- It is characterized by the integration of advanced technologies such as artificial intelligence, robotics, the Internet of Things (IoT), 3D printing, biotechnology, and other innovations.
- It signifies a new phase, not an extension of the current revolution, with significant impacts on velocity, scope, and systems, transforming production, management, and governance.
- The 4IR is marked by the rapid pace of technological advancements, which significantly impact industries, economies, and societies, leading to transformative changes in the way people live, work, and interact.

Impacts of fourth industrial revolution on Governance:

- **Citizen Engagement:** New technologies empower citizens to engage with governments, express opinions, coordinate efforts, and even bypass traditional oversight.
 - Technologies enable direct citizen participation in decision-making and policy feedback.
- **Data-Driven Governance:** Big data analytics and artificial intelligence empower governments to make informed decisions, enhance efficiency, and address public needs more effectively.
- **Smart Governance:** Integration of IoT and smart technologies facilitates efficient resource management, infrastructure development, and urban planning.
- **E-Government Services:** The revolution promotes digital service delivery, enhancing accessibility and convenience for citizens.
- **Workforce Transformation:** Automation and AI may alter traditional government roles, necessitating reskilling and adapting to new workforce dynamics.
- **Global Interconnectedness:** The digital landscape fosters global cooperation, information sharing, and collaborative governance initiatives.
- **Efficiency and Transparency Focus:** Technology's role in governance emphasizes efficiency and transparency, with increased emphasis on accountability, particularly in regions where corruption and inefficiencies are prevalent.

Associated challenges:

- **Government Control and Pressures:** Governments gain enhanced technological control through surveillance and digital infrastructure. However, they face increasing pressure to alter their approach to public engagement and policymaking.
- **Cybersecurity Challenges:** The increasing reliance on digital systems poses challenges in securing sensitive government data and critical infrastructure.
- **Digital Divide:** Unequal access to technology exacerbates disparities, hindering inclusivity in benefiting from digital governance.
 - Disparities in technological infrastructure across regions hinder uniform access to digital governance services.
- **Privacy Concerns:** The extensive use of data in governance raises issues regarding individual privacy, requiring robust data protection measures.
- **Policy Lag:** Rapid technological advancements outpace government policies and regulatory frameworks, leading to governance challenges.
- **Ethical Dilemmas:** Ethical considerations, including AI bias and responsible technology use, pose challenges in formulating and implementing ethical governance practices.

- **Resistance to Change:** Institutional resistance and a reluctance to adopt new technologies may impede the successful integration of 4IR in governance.
- **Data Governance Issues:** Ensuring responsible data management, ownership, and preventing misuse present ongoing challenges in the 4IR era.

4th Industrial revolution leads to Agile Governance:

- **Agile Governance:** Agile governance aims to transform how policies are deliberated, enacted, and enforced in the rapidly changing landscape of the Fourth Industrial Revolution.
- **Adaptability to Rapid Changes:** Governance needs to be more agile to match the swift societal changes propelled by the rapid development and deployment of emerging technologies. Policymakers should proactively shape these developments.
- **Shift in Time Sensitivity:** Agile governance differs from plan-based policymaking by emphasizing time sensitivity, recognizing the value of quick responses to dynamic situations.
- **Aligning Goals with Dynamic Projects:** The primary purpose of agile governance is to ensure organizational goals align with dynamic projects, adapting to the evolving landscape.
- **Real-Time Data Monitoring:** Agile governance utilizes real-time data for continuous policy monitoring, aiding governments in adopting an Agile Framework amid uncertainties.
- **Short-Term Responses:** Short-term policy responses can be tailored to evolving situations, departing from rigid predictions of models.

Way Forward:

- **Strategic Policy Framework:** Develop a comprehensive policy framework that aligns 4IR technologies with governance objectives, ensuring an ethical approach.
- **Capacity Building:** Invest in training programs to enhance government officials' and staff's digital literacy, fostering a workforce equipped to implement 4IR solutions.
- **Public-Private Collaboration:** Foster partnerships with the private sector to leverage expertise, resources, and innovation for effective 4IR implementation in governance.
- **Cybersecurity Measures:** Prioritize robust cybersecurity infrastructure and practices to protect government systems and citizen data from emerging threats associated with 4IR.
- **Inclusive Access:** Ensure inclusive access to 4IR technologies, addressing the digital divide by promoting equitable distribution and affordability, particularly in marginalized communities.
- **Ethical AI Guidelines:** Develop and implement clear ethical guidelines for the use of artificial intelligence in governance, emphasizing fairness, accountability, and transparency.
- **Agile Regulatory Framework:** Establish a flexible regulatory framework that adapts to the rapid pace of technological advancements, providing clarity while allowing for innovation.
- **Data Governance Policies:** Formulate policies that outline responsible data governance practices, ensuring citizens' privacy, consent, and control over their personal information.
- **Continuous Monitoring and Evaluation:** Institute mechanisms for ongoing monitoring and evaluation of 4IR initiatives in governance, allowing for timely adjustments and improvements based on performance metrics and feedback.

CITIZEN CHARTER

About Citizen Charter:

- A Citizen Charter is a document or declaration issued by a government agency or public service provider that outlines the rights, entitlements, and expectations of citizens regarding the services they can avail of.
- It is a document that outlines the commitment of a public body towards standard, quality, and time frame of service delivery along with grievance redress mechanism.
- Citizens' Charters aim at making public organizations' citizen-friendly, transparent, and accountable.
- The concept is that the charter preserves the trust between the service provider and the citizens/users.
- The concept of a citizen's charter was initiated by former British Prime Minister John Major in the year 1991. It was started as a national programme intended to improve the quality of public services.
 - Why? – Public welfarism was taking center stage at that time. It aimed at transforming the way public services were delivered and managed.

Citizen's Charter in India:

- 2nd ARC in his 12-report defined the Citizen charter as "The Citizens' Charter is an instrument which seeks to make an organization transparent, accountable and citizen friendly. A Citizens' Charter is basically a set of commitments made by an organization regarding the standards of service which it delivers."
- The concept of citizen's charter in India was first adopted during a Chief Ministers' Conference in May 1997, leading to its formulation by central and state governments.
- The Department of Administrative Reforms and Public Grievances (DARPG) is responsible for coordinating and implementing citizen's charters, with over 700 charters adopted by various government agencies in India.
- Citizen's charters are not legally enforceable in a court of law. It is essentially about the rights of the public and the obligations of the public servants.

Why Citizen Charter was introduced:

- It helps to foster a culture of accountability, transparency, responsiveness, and efficiency in the government. – Hence CC is tool of Good Governance.
- To instill a sense of duty and change the colonial mindset of public servants, fostering a more service-oriented attitude.
- Making organization goal oriented rather than just process oriented – which leads to red tapism, corruption, delay in services, etc.
- It helps in organizational control, coordination, and decision making.

SIX Principles of Citizen's Charter (As originally framed)

- Quality – Improving service quality.
- Choice – Wherever possible.
- Standards – Specifically mention what to expect and how to go about if standards are not met.
- Value – For taxpayers' money.
- Accountability – At the level of the individual and the organization.
- Transparency – Transparency in rules/schemes/procedures/grievances.

The charter is a declaration of commitment to superiority in service to customers of the department. Example – SEVOTTAM MODEL

Features of Citizen Charter:

- **Clear Service Quality Standards:** The Charter should define precise and time-bound service quality standards. These standards should be appropriate, reliable, and observable.
- **Transparent Information:** Charter ensures accessible, clear, accurate, and concise information on service delivery and available resources for users.
- **User Choice and Communication:** Charter provides diverse service options, conducts regular consultations to set expectations, and ensures consistent delivery.
- **Fair and Supportive Service:** The Charter aims to promote a culture of friendly and attentive public service, ensuring fairness and supportiveness in service delivery.
- **Effective Complaint Redressal:** Actively addressing complaints reduces their frequency, and recognizing trends enables proactive resolution of underlying issues by the service provider.

Shortcomings of CC in India:

- **Devoid participative mechanisms** – in most cases, not formulated through a consultative process with cutting edge staff who will finally implement it.
- **Poor design and content:** lack of meaningful and succinct CC, absence of critical information that end-users need to hold agencies accountable.
- **Lack of public awareness:** only a small percentage of end-users are aware of the commitments made in the CC since effective efforts to communicate and educate the public about the standards of delivery promise have not been undertaken.
- **Charters are rarely updated:** making it a one-time exercise, frozen in time.
- **End-users, Civil society organizations and NGOs are not consulted** when CCs are drafted: Since a CC's primary purpose is to make public service delivery more citizen-centric, consultation with stakeholders is a must.
- **Measurable standards of delivery are rarely defined:** making it difficult to assess whether the desired level of service has been achieved or not.
- **Little interest is shown by the organizations in adhering to their CC:** since there is no citizen friendly mechanism to compensate the citizen if the organization defaults.
- **Tendency to have a uniform CC for all offices under the parent organization.** CC has still not been adopted by all Ministries/Departments. This overlooks local issues.
- **Ineffective grievance redressal mechanism:** Officer in charge goes unpunished which does not infuse sense of responsibility and commitment.

2nd ARC in its 4th Report “Ethics in Governance” and 12th Report “Citizen Centric Government” gave some recommendations to reform Citizen Charter:

- **Internal Restructuring should precede the Charter formulation:** The existing procedures of the public organizations must be analyzed in detail and bring necessary reform to make the public services citizen centric.
- **One size does not fit all:** formulation of CC should be a decentralized activity with the head office providing only broad guidelines.
- **Wide consultation process:** CC be formulated after extensive consultations within the organization followed by a meaningful dialogue with civil society and cutting-edge level bureaucracy because after all they will implement it. – this will also increase awareness.

- **Benchmark using end-user feedback:** The feedback of end-users should be the ultimate criterion to benchmark the quality of services provided by different organizations.
- **Firm commitments to be made** - CC must be precise and make firm commitments of service delivery standards to the citizens/consumers in quantifiable terms wherever possible.
- **Redressal mechanism in case of default:** clearly lay down the relief which the organization is bound to provide if it has defaulted on the promised standards of delivery.
- **Hold officers accountable for results:** fix specific responsibility in cases where there is a default in adhering to the CC.
 - Public servants must be properly trained and orientated to implement the charter.
 - Public servants must be *sensitized and trained* toward improving their functioning and behavior.
- **Periodic evaluation of CC:** preferably through an external agency.
 - Frame a structure for obtaining feedback and performance audit and fix a schedule for reviewing the Charter at least every six months.

Way Forward

A Citizens' Charter cannot be an end in itself; it is rather a means to an end - a tool to ensure that the citizen is always at the heart of any service delivery mechanism.

ADDITIONAL INFORMATION:

Legislative step: In 2011 a legislative step was initiated to give statutory backup to citizen charter in India through:

- The Citizens Charter Bill of 2011 aims to provide a framework for ensuring timely delivery of goods and services to citizens.
- It mandates that any public authority publish a citizen charter within 6 months of the Act's implementation, and it imposes a penalty of up to Rs 50,000 for failure to do so.

Ministry of Panchayati Raj released a Model Panchayat Citizens Charter. It has been developed for the delivery of services across the 29 sectors, aligning actions with localized Sustainable Development Goals (SDGs).

Case Study: Citizens' Charter of the Income Tax Department (Government of India):

The Income Tax Department's Citizens' Charter, framed in March 2007, aims to promote compliance with tax laws through quality services, encouraging voluntary compliance and efficient administration. It includes 18 action points for improved service delivery, information dissemination, and grievance redressal. Out of these 18 action points, 16 mention specific time frames for providing respective services. To mention a few:

- A refund should be issued along with interest, if any, within 9 months from the end of the month in which the return, complete in all respects, is received.
- Effect to appellate/revision order should be given within 45 days from the date of receipt of the appellate/revision order by the A.O.
- Rectification application should be disposed of within 2 months from the end of the month in which the application is received.

THE SEVOTTAM MODEL

Sevottam is a Service Delivery Excellence Model which provides an assessment-improvement framework to bring about excellence in *public service delivery*.

Why was the Sevottam Model introduced?

- The need for a tool like Sevottam arose from the fact that Citizens' Charters by themselves could not achieve the desired results in improving the quality of public services.
- Besides, the absence of a credible grievances redressal mechanism within organizations was also becoming a significant impediment in improving service delivery standards.
- Thus, it was felt that unless there is a mechanism to assess the outcomes of various measures, the reform initiatives will not yield the desired results. *The Sevottam model works as **an evaluation mechanism** to assess the quality of internal processes and their impact on quality-of-service delivery.*

The Sevottam model has three modules:

1. The first component of the model requires **effective Charter implementation**, thereby opening a channel for receiving citizens' inputs into how organizations determine service delivery requirements.
2. The second component of the model, '**Public Grievance Redress**' requires a sound grievance redressal system operating in a manner with how the organization responds to complaints/grievances that leaves the citizen more satisfied.
3. The third component, "**Excellence in Service Delivery**," emphasizes that an organization can achieve excellent service performance by continuously enhancing its capacity for better service delivery.

Thus, the Sevottam model seeks to assess an organization on

- a) implementation of the Citizens' Charter,
- b) implementation of grievances redressal system and
- c) service delivery capability.

Critical Appraisal of Sevottam Model:

Several Departments have initiated steps to use the Sevottam model to improve their quality of services. The **Sixth Central Pay Commission** observed as follows:

- The Government of India's citizen-centric governance commitment resulted in the Sevottam model for public service delivery, formulated in consultation with stakeholders, and led to Indian Standard IS: 15700: 2005.
- India, having the first published standard for Public Service Delivery, suggests integrating the Sevottam model into PRI (Performance Related Incentive) for rewarding accountable employees in ministries/departments.
- Minimum performance under Sevottam will be kept as a qualifier for PRI. Here, employees of the entire organization (or part) achieving other results but failing in Sevottam may not receive PRI.

2nd ARC on SEVOTTAM Model:

- The II ARC studied the Sevottam model and acknowledged it as a step in the right direction. The model requires further strengthening and refinement and is currently voluntary.
- The focus of *Sevottam* is on *process standards*, but the commission emphasizes the need for *greater emphasis on service standards*.
- Good internal processes are necessary for better services, but they may not be sufficient; better quality of service is essential.
- II ARC proposes enshrining a citizens' centric administration at the field level rather than focusing solely on reforms at the apex level.
 - Citizens' Charters should be designed based on local conditions and needs, not imposed from above as a generic model.
 - Many reforms initiated at Headquarters fail to reach the cutting-edge level, depriving citizens of real benefits.

Right to Information (RTI)

- Max Weber mentioned that “secrecy is an invention of bureaucracy in the interest of power”.
 - Free access to information reduces discretionary elements in the decision making by bureaucracy, thus dissolving their power.
- The World Bank realized the importance of “transparency and information” and has mentioned these aspects as essential determinants of Good Governance in its report “Governance and Development” published in 1992.
 - The access to information promotes transparency, openness, and accountability in public administration.
- The foundations of a democratic government are trust and mutual understanding between the citizens & the government.
 - Thus, the citizens have the right to know about different administrative activities to sustain and strengthen this trust.
 - An information-driven society leads to transparency and accountability.

RELATED QUOTES:

- “Secrecy is the linchpin of abuse of power, its enabling force. Transparency is the only real antidote.”
 - Glenn Greenwald
- “Information is a basic human right and fundamental foundation for the formation of democratic institutions.” - Nelson Mandela

BACKGROUND:

- The Supreme Court said in the case of **Raj Narain vs the State of UP 1976**, that people cannot speak or express themselves unless they know. Therefore, the right to information is embedded in article 19(1) of the Constitution.
- The Mazdoor Kisan Shakti Sangathan, an RTI activist group, initiated the movement in 1994.
 - They used “Jan Sunwai” or public hearings to demand accountability and information from the government. The movement compelled Rajasthan government revealing expenditures on developmental projects.
- The Rajasthan government's action influenced the central government to form the Justice P. B. Sawant Committee.
 - The committee drafted a model bill promoting freedom of information for introduction in Parliament and States.
- In 2000, the NDA government introduced the Freedom of Information Bill in Parliament.
- Before the centre could legislate on the subject, six States passed their Right to Information Acts. These states were: Goa (1997), Tamil Nadu (1997), Rajasthan (2000), Maharashtra (2000), Karnataka (2000) and Delhi (2001).
- In the meantime, **Right to Information (RTI) recognized as a Fundamental Right** by the Supreme Court in 2004 (**Peoples Union for Civil Liberties v. Union of India 2004**).
- Government of India enacted the **Right to Information Act in 2005**. The Act grants every Indian the right to access information on administrative procedures.

IMPORTANT HIGHLIGHTS OF THE ACT:

- **Statutory Recognition:** The RTI Act of 2005 gained legal status.
- **Comprehensive Information Scope:** RTI encompasses access to documents, records, certified copies, electronic data (like diskettes, tapes, etc.), stored computer information, emails, press releases, contracts, circulars, and a wide array of data forms.
- **Citizens' Eligibility:** Exclusive to Indian citizens, the **RTI is not accessible to foreigners.**
- **Accessible Information:** Citizens can access data directly held by public authorities. Information available to public authorities from private sectors is also accessible, except for details inaccessible by public authorities.
- **Proactive Disclosure:** The state must voluntarily make information public, reducing citizens' responsibility for information retrieval.
 - **Section 4:** RTI Act requires **suo-motu disclosure** of information by each public authority.
- **Application Process:** Citizens can request information by submitting a simple application to the designated Public Information Officer (PIO) (or CPIO/SPIO).
- **Response Time:** The PIO must furnish information within 30 days of application receipt. Alternatively, they can refuse based on the grounds listed in Section 8 of the RTI Act.
- **Special Cases:** Information related to corruption and human rights violations by scheduled Security agencies in the Act's Second Schedule should be provided within 45 days, subject to prior approval from CIC (Chief Information Commission).
- While replying, the PIO must furnish complete information to the applicant. S/he cannot provide vague or incomplete information.
- **Appeal Process:**
 - If the provided information is unclear or incomplete, the applicant can complain or approach the First Appellate Authority, senior to the PIO.
 - First Appellate Officer's decision binds the PIO.
 - Dissatisfaction with First Appellate Officer's response leads to a second appeal.
 - State Chief Information Commissioner handles state-related appeals, and Central Chief Information Commissioner handles central appeals.
 - Second Appellate Authority's decision is final and binding.
 - Further dissatisfaction allows approaching High Court via writ or Supreme Court through judicial review.
- **Complaints and Penalties:**
 - If not appealing but complaining, applicant can report malafide denial and delay.
 - Penalties (Rs. 250 to Rs. 2500 per day) imposed for information denial or delay; borne by individual, even deducted from pension or property.
 - Violation of procedures may lead to departmental action by CIC or SIC.
- **Identity Protection:** Applicant can keep identity hidden; only mailing address needs to be revealed.

EXCLUSIONS FROM DISCLOSURE:

Certain types of information are exempt from being disclosed under Section 8 of the RTI Act:

- **National Interest Protection:** Information that, if disclosed, could harm India's sovereignty, integrity, security, or its strategic, scientific, or economic interests. Also, information that could harm relations with foreign states or lead to incitement of an offense falls under this category.
- **Court Orders and Contempt:** Information prohibited from publication by a court or tribunal, and revealing which might amount to contempt of court.
- **Parliament and Legislature Privileges:** Information the disclosure of which would infringe upon the privilege of Parliament or State Legislature.
- **Commercial and Competitive Interests:** Information containing commercial confidence, trade secrets, or intellectual property that could harm the competitive standing of a third party.
- **Fiduciary Relationships:** Information accessible due to a person's fiduciary relationship, unless the competent authority is convinced that revealing the information is in the larger public interest.

A citizen's duty does not end with voting, and the RTI Act is an excellent tool for citizens to come together and be more involved.

ISSUES & IMPEDIMENTS TO EFFECTIVE RTI ACT 2005

- **Backlog of Cases:** A backlog of around 3.15 lakh complaints/appeals exists across 26 information commissions in India.
 - RTI cases filed till now (2022)-4.2 crore RTIs and 26 lakh second appeals with average waiting period of two years.
- **Laws Contrary to RTI Act:** Acts like the Official Secrets Act, 1923, and Indian Evidence Act, 1872 conflict with RTI provisions.
- **Cultural and Attitudinal Barriers:** Deep-rooted culture of secrecy and reluctance to share information in some government sectors.
 - Modify government servant conduct rules (e.g., Rule 11 of Central Civil Services Conduct Rules, 1964) to prioritize information sharing.
- **Fee Format and Payment:** Confusion in fee format; recommend introducing a recognized RTI stamp worth Rs 10.
 - Separate payment of application fee from RTI request.
- **Record Keeping:** Due to inadequate infrastructure, information provided through RTI requests is often incomplete or lacks necessary data. Government offices lack proper record-keeping and indexing.
 - Need to catalogue records as per law for easy retrieval.
- **Information Seeking:** Simplify process by having nodal RTI cells in large ministries for consolidated information.
 - Develop an effective Management Information System (MIS) for efficient administration.
- **Process Simplification:** Establish 24-hour phone line service like Bihar.
- **Lack of Awareness:** Limited public awareness about the RTI Act and its provisions, leading to underutilization.
- **Misuse and Frivolous Requests:** Misuse of the Act through frivolous or vexatious

requests, burdening the system and diverting resources.

- **Retaliation and Threats:** Citizens and whistleblowers face potential retaliation or threats after seeking sensitive information.
- **Weak Whistleblower Protection:** Inadequate safeguards for individuals who expose wrongdoing through RTI requests, deterring potential whistleblowers.
- **Lack of diversity in appointment:** 84% of CICs are from bureaucratic backgrounds, including 65% retired IAS officers.
- **Vacant Positions:** As per the report by Transparency International, one-fourth (42 of the total 165) information commissioner posts are vacant.
- **Penalty Reluctance:** The commissions did not impose penalties in 95% of the cases where penalties were potentially imposable.

CURRENT CONTROVERSIES:

- **Extension to PPPs:** The RTI's scope should encompass Public-Private Partnerships (PPPs).
- **Privacy Bill vs. RTI:** Concerns arise regarding possible work conflicts between the CIC and privacy commissioners recommended by Justice Shah.
 - Section 8(1)(j) of the RTI Act has provisions to protect individual privacy, allowing disclosure if it serves a larger public interest.
- **CBI and RTI:** Questions arise whether the CBI should be excluded from the RTI Act.
 - Section 24 mandates that information about corruption or human rights violations must be shared. Despite this, around 95% of CBI's information requests relate to corruption allegations.
- **Government Litigation:** A government emerges as the biggest litigant against CIC orders in court.
 - In about 99 % of cases where anybody has gone to court against an order of the CIC, it is a government department; hardly any private individual goes to court.

RECOMMENDATIONS AND FUTURE STEPS:

- **Enhance RTI Implementation:** Act on recommendations from report "The Performance of Information Commissions" by Satark Nagrik Sangathan (SNS) for effective RTI implementation.
- **Transparent Information:** Information commissions should display their functioning details, including pending cases, on their websites in real time.
- **Annual Reports Submission:** Strictly adhere to the requirement of submitting annual reports to Parliament or state assemblies.
- **Online Filing Mechanism:** Collaborate with governments to establish online RTI applications submission systems.
- **Balancing Privacy and RTI:** Balance right to information with right to privacy as per legal framework, particularly under Article 21 of the Constitution.
- **Open Data Policy:** Government institutions should publish disclosable information on their websites for easy public access.
- **Training for Information Commissioners:** Train Public Information Commissioners to be more cooperative and helpful to information seekers, using external agencies when necessary.

- **Performance Audit:** Conduct a performance audit of RTI Act implementation, as proposed by the Comptroller and Auditor General (CAG).

Acknowledge that the Right to Information Act effectively fights corruption, promotes accountability, and safeguards democracy by checking arbitrary state actions. By taking these actions, the RTI Act can continue to serve as a potent tool for promoting transparency, accountability, and responsible governance in a democratic society.

RIGHT TO INFORMATION (RTI) AMENDMENT ACT, 2019

The Right to Information (Amendment) Act, 2019, recently passed by the Parliament of India, amends the Right to Information Act, 2005.

Provisions of The Proposed Amendment

- The Bill says that unlike the Election Commission and State Election Commission, which are constitutional bodies, the **RTI Commission is statutory**, and the latter's status and service conditions need to be rationalized accordingly.
- **Union govt to decide terms of services:** Amendment will allow the Union government to prescribe the tenure, salaries, allowances, and other terms of service of Central and state information commissioners. (By amendment in Section 13, 15, 16 and 27 of the Act)
- **Salary as decided by the government:** The salaries and allowances payable to and other terms and conditions of service of the Chief Information Commissioner and the Information Commissioners shall be such as may be prescribed by the central government.
- **Tenure as decided by the government:** It also states that the ICs shall hold office for such terms as may be prescribed by the Central government, instead of five years.

Comparison of the provisions of the Right to Information Act, 2005 and the Right to Information (Amendment) Act, 2019:

Provision	RTI Act 2005	RTI (Amendment) Act 2019
Term (Section 13)	5 years or the age of 65 whichever is earlier	Now Centre Govt. will notify tenure. (Now 3 years as notified by Centre)
Salary Deduction in Salary (Section 27)	Following Equivalents in Salaries were to be paid: <u>Under Section 13 of RTI Act 2005:</u> • CIC = Chief Election Commissioner (CEC) • ICs = Election Commissioners (ECs) <u>Under Section 16 of RTI Act 2005:</u> • State level CIC = ECs	Now, the salaries, allowances, and other terms and conditions of service of the central and state CIC and ICs will be determined by the central government. (No power to State Governments) Bill has removed these provisions.

	State Level ICs = Chief Secretary of State govt. Salaries of CIC and ICs will be deducted by an amount equal to the pension or retirement benefits being received by them if any.	
Appointment	Earlier by 3-member committee comprising PM, Leader of Opposition and One Minister nominated by PM. Similarly at State Level, 3 membered committee will comprise of CM, Leader of Opposition in State, and any Minister in State.	Now, these powers have been delegated to the Central Government.

ARGUMENTS BY GOVERNMENT FOR THESE REFORMS

- **Constitutional v/s Statutory Bodies:** A statutory body (CIC and ICs) can't be compared with a constitutional Body viz. CEC and ECs.
- **Rationalization of Status and Service Conditions:** Earlier, CIC was given the status of Supreme Court Judge, but his judgements can be challenged in High Courts. Such dichotomy is now removed.
- **No rule-making power to Government previously:** Now the new amendment gives better control to the government over the statutory body.

CRITICISM OF RECENT AMENDMENTS

- **Blow to Federalism:** The role of State Governments has been diminished.
- **Against Democratic value:** Opposition now has no role in the appointment.
- **A threat to transparency and accountability of CIC and ICs:** Earlier the CIC and ICs were appointed with the consent of Opposition and function relatively independently due to fixed tenure and salary.
 - Now the new provisions make CIC and ICs pawns to protect sensitive information related to the government.
 - The most fundamental requirement of any independent oversight institution like the CVC, CEC, the Lokpal is a **basic guarantee of tenure** which has been removed now.
- **Against the Spirit of Supreme Court Judgement & Parliamentary Committee:**
 - In 2005, the **parliamentary standing committee** reviewing the RTI Bill had said the terms of **appointment of information commissioners was the "essence of the Bill"**.
 - In the case of **Anjali Bhardwaj & Ors. V/s UOI** held that the RTI Act is enacted not only to sub-serve but also to ensure **freedom of speech**.

WAY FORWARD

- **Constitutional Status to CIC and ICs:** The constitutional status will give RTI and CIC proper sovereign backing to function in an autonomous way.
- **Awareness Campaigns:** Any empowerment or transparency drive is incomplete without the involvement of stakeholders which can be ensured by mobilising NGOs and Citizens.
- **Protection to RTI Activists:** There have been incidents of attacks on RTI activists, and they too should be given enough protection for whistleblowing against the corrupt.
- **Balancing RTI with Privacy and Official Secrets Act:** The concern regarding sensitive data needs to be well defined to avoid any vague dismissal of RTI application by Public Information Officers.

RTI AND OFFICIAL SECRETS ACT

- The Government of India prohibited even retired officials of security and intelligence organizations from publishing anything about their work or organization without prior clearance from the head of the organization.
- Serving civil servants are barred from expressing their personal opinion on policy matters and criticizing the government.
 - o Many of them take part in public debates and enrich our conversations.
- The **Official Secrets Act, 1923** has its roots in the British colonial era. Its predecessor law, The Indian Official Secrets Act, 1904.
- o In 1923, a newer version of the Official Secrets Act was notified and was extended to all matters of secrecy and confidentiality in governance in the country.
- **The OSA, 1923 broadly deals with following aspects:**
 - Penalty for Spying or espionage.
 - Disclosure of other secret information of the government.
 - Spying or leaking information from a prohibited place is also punishable under OSA, 1923.

THREE PROVISIONS OF RTI ACT, 2005 CLEARLY OVERRIDES THE OSA IN CERTAIN SITUATIONS:

- **RTI's overriding effect over OSA:** The RTI Act clearly declares that the RTI will have an "overriding effect" over OSA. E.g. In the case of Rafael deal, the Supreme Court gave the ruling in favor of newspaper agencies to promote the RTI Act and observed that "whenever there will be a conflict of interest between the two laws, the RTI Act will supersede the OSA.
- **Security Agencies and Disclosure:** Security and intelligence organizations are required to reveal information about corruption and human rights violations.
- **Balancing Public Interest:** The RTI mandates information disclosure if public interest outweighs harm to protected interests.

REASONS FOR TIGHTER NORMS ON SECRECY:

- **National Security Safeguard:** Secrecy is necessary to safeguard authorized national security operations. Disclosure can jeopardize ongoing intelligence activities.
- **Dynamic Security Challenges:** National security issues constantly evolve, making it challenging to establish a stable security policy.

- **Limited Freedom of Expression:** Freedom of expression isn't absolute; certain information related to secret official documents with national security implications remains restricted in specific situations.

2nd ARC report “**Right to Information: Master Key to Good Governance**”, which said that “**The Official Secrets Act, 1923 should be repealed.**”

MISUSE OF RTI ACT

Former CJI S.A. Bobde called for a **filter to check abuse of the Right to Information (RTI) Act** as it has created paralysis and fear in bureaucracy.

Issues in Relation To RTI

- **Blackmail Concerns:** RTI Act's misuse might lead to blackmail of public officials, hindering objective decision-making.
- **Frivolous Applications:** Numerous frivolous RTI requests impact governance efficiency.
- **National Security Risk:** RTI's broad scope can endanger national security by allowing inquiries on sensitive topics without proper credentials.

Related Studies and Facts:

Two national studies carried out by the **RTI Assessment and Advocacy Group (RaaG)** in collaboration with the **National Campaign for Peoples' Right to Information (NCPRI)** has noted the following facts:

- Less than 1% of applications are frivolous.
- The majority RTI applicants sought information about government actions, public authority functioning, and resource use.
- Only a little over 1% required extensive information.
- 70% sought information already suitable for proactive public disclosure.
- Section 8 exceptions can apply in national importance cases.

Way Forward:

- **Stricter Scrutiny Mechanism:** Implement a stringent scrutiny process to assess the legitimacy of RTI applications, preventing potential misuse for personal vendettas or blackmail.
- **Online Application Monitoring:** Develop an online monitoring system to track RTI applications, detect patterns of misuse, and identify individuals consistently filing frivolous requests.
- **Enhanced Penalties:** Introduce stricter penalties for individuals found guilty of misusing the RTI Act, discouraging frivolous applications and ensuring accountability.
- **National Security Exemptions:** Review and clarify provisions related to national security concerns in the RTI Act to balance transparency with safeguarding sensitive information.
- **Encourage Proactive Disclosure:** Promote proactive disclosure of commonly sought information by public authorities, reducing the need for repetitive RTI applications on routine matters.

- **Public Awareness Programs:** Conduct awareness campaigns to educate the public about the negative consequences of misusing the RTI Act, fostering a sense of responsibility among applicants.
- **Capacity Building for Public Officials:** Provide training to public officials on handling RTI requests effectively, ensuring timely and transparent responses while safeguarding sensitive information.
- **Regular Review and Amendments:** Periodically review the functioning of the RTI Act, considering amendments to address emerging challenges and striking a balance between transparency and the prevention of misuse.



LOKPAL AND LOKAYUKTAS ACT 2013

EVOLUTION IN INDIA:

- **Early Proposals:** The **1st Administrative Reforms Commission** (1966) recommended autonomous federal and state-level bodies to address complaints against officials, including MPs.
- **Lokpal Bill Evolution:** The Lokpal bill was first passed in Lok Sabha in 1968 but **lapsed** and it has been reintroduced several times since then.
- **Constitution Review Commission:** In 2002, the Commission to Review the Working of the Constitution suggested appointing Lokpal and Lokayuktas, excluding the Prime Minister.
- **2nd ARC:** In 2005, it recommended prompt creation of the Lokpal office.
- **India Against Corruption Movement:** The movement led by Anna Hazare pressured the Centre, resulting in the 2013 passage of the Lokpal and Lokayuktas Bill in Parliament.
- The **Lokpal and Lokayukta Act of 2013 established a Lokpal for the Union and a Lokayukta for the States**. These organizations are statutory entities with no constitutional standing.

NEED OF INSTITUTION:

- **Act's Objective:** The Lokpal and Lokayuktas Act, 2013 aims to ensure fair investigation and prosecution in corruption cases against public servants.
- **Maladministration and Corruption:** Maladministration, akin to termite erosion, weakens a nation's foundation and disrupts administration due to corruption.
- **Lack of Anti-Corruption Agency Independence:** Many anti-corruption bodies lack independence, with the CBI being criticized as a "caged parrot" and not transparent.
 - This results in lack of transparency and accountability.
- **Ombudsman Role:** These agencies serve as ombudsmen, probing misconduct allegations against public officials and other matters.

SALIENT FEATURES OF LOKPAL ACT 2013

- **Wide Jurisdiction:** The Lokpal investigates corruption allegations against the **Prime Minister**, Union Ministers, Members of Parliament, and government officials in Groups A, B, C, and D. It extends to boards, corporations, society, trust, or foreign-funded bodies.
- **Chairperson Criteria:** The Lokpal chairperson should be a former Chief Justice of India or former Supreme Court Judge, or an eminent person with impeccable integrity and extensive expertise in relevant fields.
- **Membership Composition:** The Lokpal will comprise **8 members and 1 chairman (total 9)**, in which half of the member will comprise members from SC/ST/OBC/minorities, and women members. A judicial member is a former Supreme Court Judge or Chief Justice of a High Court.
- **Enquiry and Prosecution Autonomy:** The Lokpal establishes an Inquiry Wing and a Prosecution Wing, both led by Directors.
- **Appointment Procedure:** The President appoints members based on recommendations from a Selection Committee, including the Prime Minister, Speaker of Lok Sabha, CJI, Leader of Opposition, and President.

- **Search Panel Involvement:** A search panel assists the selection committee in choosing the chairperson and members.
- **Tenure and Age Limit:** Lokpal Chairman and Members serve five years or until they reach the age of 70.

POWERS OF THE LOKPAL:

- **Proactive Asset Disclosure:** Elected officials and their dependents must proactively disclose their assets and liabilities as mandated by the Lokpal Act.
- **CBI Oversight:** Lokpal supervises and directs CBI operations. The investigating officer's transfer requires Lokpal's approval when a case is referred to CBI.
- **Civil Court Authority:** Lokpal's Inquiry Wing holds the powers of a civil court and can, in specific instances, seize corruptly acquired properties, benefits, and proceeds.
- **Neutrality Assurance:** Lokpal can suggest the transfer or suspension of a public servant facing corruption allegations to ensure impartiality.
- **Evidence Preservation:** During initial investigations, Lokpal can issue orders to prevent the destruction of relevant documents.

ISSUES ASSOCIATED WITH LOKPAL ACT

- **Lack of Constitutional Backing:** The absence of constitutional support leaves Lokpal with no suitable mechanisms for challenging its decisions.
- **Political Appointments:** The influence of executive-led bias in recommending candidates due to the nominating committee's composition.
- **Appointment Delays:** For over five years, Lokpal's chairperson and members were not appointed due to the absence of a Leader of Opposition (LoP) in the 16th Lok Sabha. This was rectified only in March 2019 after a Supreme Court petition.
- **Judiciary Exclusion:** Lokpal's major flaw is excluding the judiciary, allowing potential abuse in appointments and lack of constitutional backing.
- **Adherence Lapses:** Despite the requirement to present an annual report, no such report has been laid, and inquiry and prosecution wings mandated by the Act are yet to be established.
- The Lokpal cannot initiate an investigation on its own against any public servant.
- **Whistleblower Protection Gap:** The 2013 Act lacks specific protection for whistleblowers and has provisions that deter complaints.
- **Overlap with CVC:** The Act's provision for referring complaints to the CVC might lead to confusion, as there's a dual process for different groups of officials.
- **Complaint Time Limit:** Complaints about corruption cannot be registered after 7 years from the alleged offense date.
- **Heavy punishment for false complaints:** The act provides for severe punishment for false or frivolous complaints, which may deter people from coming forward with valid complaints.

MEASURES REQUIRED:

- **Greater accountability:** Greater right to information, and citizen and citizen group empowerment are all needed.
- **Functional autonomy and availability of manpower:**
 - The Lokpal and Lokayukta must be financially, administratively, and legally empowered and separate from those they are tasked with investigating and prosecuting.
 - So far, lokpal has also not appointed the Director of Inquiry or Prosecution.

- **Early disposal of cases:** Lokpal gets 1,427 complaints in 2019-20, out of which 80% cases are still pending hearing.
- Greater transparency, more right to information and empowerment of citizens and citizen groups is required along with good leadership that is willing to subject itself to public scrutiny.
- **Ensure Active participation of opposition in appointment:** The amendment act in 2016, enables the leader of the single largest opposition party in the Lok Sabha to be a member of the selection committee in the absence of a recognized Leader of Opposition.



WHISTLEBLOWERS PROTECTION ACT 2014

Whistleblowing involves disclosing illegal or unethical conduct within an organization by an employee or stakeholder. A whistleblower reveals information about individuals or organizations involved in illicit activities.

BACKGROUND:

- **Supreme Court Directive:** In 2004, the Supreme Court directed the establishment of an interim administrative mechanism to address whistleblower complaints until a law was enacted.
- **PIDPIR Resolution:** Responding to the directive, the government introduced the 'Public Interest Disclosure and Protection of Informers Resolution (PIDPIR)' in 2004, empowering the Central Vigilance Commission (CVC) to act on whistleblower complaints.
- **2nd ARC:** It also advocated for a specific whistleblower protection law to strengthen anti-corruption mechanism.
- **UN Convention Influence:** India, a signatory to the UN Convention against Corruption since 2005, was encouraged to facilitate corruption reporting and protect whistleblowers from retaliation.
- **Whistleblowers Protection Bill:** Proposed in 2011 and enacted in 2014, this law aimed to safeguard whistleblowers and comply with international regulations.
- **Corporate Mandate:** The Companies Act, 2013, and Securities and Exchange Board of India regulations made it obligatory for companies to address whistleblower complaints.

BENEFITS OF WHISTLEBLOWING:

- **Anti-Corruption:** Whistleblowing fights corruption effectively, endorsed by Transparency International as a potent tool.
- **Curbing Misconduct:** Whistleblowers deter corruption and fraud due to potential exposure, promoting efficiency.
- **Empowerment:** Whistleblowing empowers employees, encouraging their significant contributions.
- **Transparency Boost:** Whistleblowing fosters transparency, making organizations more accountable.
- **Grievance Redressal:** Whistleblowing serves as a grievance redressal tool, aiding authorities to identify malpractices.

WHISTLEBLOWER PROTECTION ACT, 2014 - KEY HIGHLIGHTS:

- **Complaint Mechanism:** Establishes a process to receive corruption and misuse of power complaints against public servants, and mandates inquiries into such allegations.
- **Protection Safeguards:** Ensures safeguards against victimization of complainants.
- **Identity Requirement:** Demands complainants to reveal their identity; anonymous complaints are not accepted.
- **Time Limit:** Sets a maximum seven-year window for making complaints.
- **Exemptions:** Excludes Special Protection Group personnel under the Special Protection Group Act, 1988.
- **Appeal to High Court:** Enables appealing orders of Competent Authorities to the relevant High Court **within 60 days.**

- **Penalties:** Punishes those revealing complainant identity with up to 3 years' imprisonment and a fine (up to Rs 50,000);
➤ false disclosure may lead to up to 2 years' imprisonment and a fine (up to Rs. 30,000).
- **Annual Report:** Competent Authority submits consolidated annual report to Central/State Government, presented before Parliament/State Legislature.
- **Overrides Official Secrets Act:** Allows disclosures despite Official Secrets Act violation if national sovereignty isn't compromised.
- **2015 Amendment Proposal:** An amendment suggested preventing whistleblowers from revealing Official Secrets Act-classified documents, even when exposing corruption or misuse of power, posing a challenge to the Act's purpose.

CHALLENGES FACED BY WHISTLEBLOWERS:

- **Awareness Gap:** Many whistleblowers lack awareness about their legal rights and protections, leading to underutilization of the Whistleblower Protection Act.
- **Retaliation and Vulnerability:** Despite legal safeguards, whistleblowers encounter retaliation, harassment, and professional damage, dissuading potential disclosures.
- **Complex Legal Processes:** Lengthy, and intricate legal procedures hinder whistleblowers' access to justice and prompt resolution.
- **Support Deficiency:** Limited financial aid, counseling, and protection mechanisms undermine whistleblower morale and discourage reporting.
- **Anonymity Concerns:** Fear of identity exposure due to inadequate anonymity and confidentiality measures deters potential whistleblowers.
➤ The Act lacks clear definitions and standards for victimization, leaving whistleblowers inadequately protected.
- **Lack of Incentives:** Insufficient rewards for whistleblowers revealing wrongdoing reduce motivation to report misconduct, particularly in cases involving influential parties.
- **Scope Limitations:** The Act's coverage is primarily focused on corruption, leaving out broader concerns like policy violations and unethical practices.

WAY FORWARD TO STRENGTHEN WHISTLEBLOWERS PROTECTION ACT:

- **Awareness Campaigns:** to educate potential whistleblowers about their rights, protections, and available mechanisms.
- **Enhanced Retaliation Safeguards:** Strengthen legal provisions to ensure strict penalties and penal provisions against retaliation, bolstering confidence among whistleblowers.
- **Comprehensive Support:** Establish well-rounded support mechanisms, including financial aid, counseling services, and physical protection, boosting whistleblower morale.
- **Enhanced Anonymity:** Implement robust anonymity and confidentiality measures, assuring whistleblowers of protection from exposure.
➤ Introduce clear definitions and standards for victimization, creating a more solid foundation for protecting whistleblowers.
- **Incentive Structure:** Revise the reward system to offer meaningful incentives, acknowledging the risks whistleblowers take to expose misconduct.
- **Broadened Scope:** Expand the Act's coverage to address a wider range of concerns beyond corruption, encompassing policy violations and ethical lapses.

Strengthening the Whistleblowers Protection Act requires a comprehensive approach that empowers and safeguards whistleblowers. This effort will enhance accountability, transparency, and ethical governance across sectors, safeguarding democracy.

PUBLIC ACCOUNTS COMMITTEE

- PAC is one of the three Financial Parliamentary committees, the other two are the Estimates Committee and the Committee on Public Undertakings.
- Parliamentary committees draw their authority from Article 105 (on privileges of Parliament members) and Article 118 (on Parliament's authority to make rules for regulating its procedure and conduct of business).

FUNCTIONS:

- Public Accounts Committee (PAC) is a financial committee constituted every year to examine the annual audit reports of submitted by the Comptroller Auditor General (CAG) and reports its finding to the parliament.
- PAC acts as the watchdog of the public purse by examining the audit report on appropriation account and finance account.
- It scrutinizes the appropriation account to verify:
 - If the funds were legally available.
 - If a competent authority sanctioned,
 - If the rules laid by procedure were followed.
- PAC's function has been sometimes criticized since it does not investigate the policy aspect and is only recommending in nature.
- Examining the demand for excess grants before they are presented to Parliament for regularisation.
- The committee examines public spending not only for legality and efficiency, but also to uncover waste, corruption, and extravagance.
- The Comptroller and Auditor General (CAG) is the "friend, philosopher and guide" of the Committee. The CAG attends the sittings of the Committee and assists it in its deliberations.

IMPORTANCE:

- **Expert Forum:** Committees offer a platform for discussing complex matters with experts and officials, aiding better understanding.
- **Cross-Party Consensus:** Committees facilitate consensus among parties by private discussions, differing from televised sessions.
- **Policy Scrutiny:** Committees analyze ministry policies, suggest changes, and government responds, leading to Action Taken Reports.

ISSUES AND CHALLENGES:

- Even if it brings out irregularities in the public expenditure there are no mechanisms to enforce the corrective measures.
- **Post-Mortem Approach:** It examines the expenditure which has already been made by the government.
- **Advisory body:** Its recommendations are only advisory in nature and are **not binding** on the ministry of the day.
- PAC has got no mandate to examine the policy in a broader sense.

- **Enforcing Brute Majority:** By giving discretionary power to the Chair, the system has been specially rendered weak in a Lok Sabha where the ruling party has a brute majority.
- **Lack Expertise:** Member of the PAC lack technical and subject expertise as they are generalist and political executive which hinders their effective participation.
- **Shorter Tenure:** They have only 1 year tenure which restricts their participation and long-term vision in the committee.

PUBLIC ACCOUNTS COMMITTEE - RECENT CONTROVERSIES

2G Scam issue (2010-11)

- Then PAC Chairman Murli Manohar Joshi tried to get a controversial report on the 2G scandal through, threatening to summon the then Prime Minister Manmohan Singh, which sparked outrage from Congress members.

Demonetization issue (2016-17)

- Sumitra Mahajan, the then Speaker of the Lok Sabha, expressed her dissatisfaction with PAC Chairman K V Thomas's remarks that the panel might bring Prime Minister Narendra Modi to explain the demonetization issue if it was not satisfied with RBI Governor Urjit Patel's and top finance officials' responses.

WAY FORWARD:

- **Enforcement Mechanisms:** Introduce mechanisms to ensure the implementation of PAC's recommendations, making them more effective in correcting financial irregularities.
- **Proactive Scrutiny:** Empower PAC to conduct proactive reviews before expenditures are made, shifting focus from post-mortem analysis to preventive measures.
- **Binding Recommendations:** Advocate for making PAC's recommendations binding on the government, enhancing its impact on financial accountability.
 - Govt must submit Action taken report (ATR) in parliament on the recommendation given by PAC.
- **Policy Examination:** Broaden PAC's mandate to include policy scrutiny, enabling it to address broader governance issues beyond expenditure.
- **Balanced Discretion:** Review and adjust the discretionary powers of the PAC Chair to maintain a balanced approach and prevent undue influence.
- **Enhanced Expertise:** Ensure diverse expertise in the PAC, including technical and subject matter specialists, enhancing its ability to comprehensively assess financial matters.
- **Extended Tenure:** Consider extending PAC members' tenure beyond a year, enabling deeper engagement and long-term vision for effective committee functioning.

To bolster the functioning of the Public Accounts Committee, a multi-pronged approach is necessary. Measures need to be taken to strengthen the committee's role as a watchdog, contributing to better governance and public trust.

SOCIAL AUDIT

- The Social Audit makes the point that they were concerned with the '**social**' and **not the 'economic' consequence** of a particular action.
- Tata Iron and Steel Company (TISCO), Jamshedpur, implemented Social Audit in 1979 and is the first company in India to do so.
- Social Audit has also been carried out by some NGOs as a means of understanding their impact on society and to see whether they are catering to people's needs. In India, the concept of social audit gained significance after the 73rd Constitutional Amendment Act and devolution funds.
- Social audit is a tool to measure **non-financial activities** and monitor both internal as well as external consequences of the social and commercial operations of an organization. It can be conducted by government departments, private enterprises as well as civil society.
- This concept places the power to hold public officials accountable in the hands of people. The citizens develop a stakeholder mentality because of this process.
- They participate as stakeholders, measure the performance of various programmes, understand the working of these programmes from the point of view of the citizens, report the various faults found by them to the higher authorities & publicize them in the media and give feedback to improve the performance of the activities.

OBJECTIVES OF SOCIAL AUDIT

- The underlying ideas of social audit are directly linked to democracy and participation.
- Empowerment of Beneficiaries in matters of planning, implementation etc.
- Voice to people to participate and be heard.
- Complete transparency in the entire gamut of programme management.
- Ensure accountability of programme managers and implementing agencies.

PREREQUISITES FOR SOCIAL AUDIT

- The state should have faith in participatory democracy.
- An active and empowered civil society.
- The state should be accountable to civil society.
- Congenial political and policy environment.

SOCIAL AUDIT vs. OTHER AUDITS

The difference among Financial Audit, Operational Audit and Social Audit is summarized in the table below:

Financial Audit	Operational Audit	Social Audit
It is directed towards recording, processing, summarizing, and reporting of financial data.	Establishing standards of operation, measuring performance against standards, examining, and analyzing deviations, taking corrective actions, and reappraising standards based on experience are the focus.	Social Audit provides an assessment of the impact of a department's non-financial objectives through systematic and regular monitoring based on the views of its stakeholder.

Strength Of Social Audit

- Social audit starts during program formulation, involving target groups, unlike financial audits, it is not a post-mortem exercise.
- Social auditing focuses on outcomes, assessing government impact on citizens' well-being, and gauging stakeholder perception.
- People's participation in development ensures accountable spending, promotes integrity, and strengthens democratic governance.
- It holds concerned government agencies accountable, ensuring proper records and transparent spending.
- Social audit bridges gaps between goals and reality. It promotes efficiency and effectiveness.

Limitations In Social Audit

- **Lack of People's Participation** Colonial mindset hinders political engagement, lack of education limits participation, and poverty reduces interest in community involvement.
- **Lack of any legal proceedings** for lapses in social auditing in many countries such as India. However, in the United States, social audit follows a strict law.
- The scope of social audit is intensive but **highly localized** covering only certain selected aspects out of a wide range of financial compliance and performance audit.
- In countries like India, **Documentation** of social audit is not in a form to provide consistent evidence.
- In India, there is **over dependency** by villagers on Panchayat members for social audit.

How To Make Social Audit Effective

- **Clarity of purpose** and defining **performance indicators**.
- **Proper documentation** right from planning to implementation and their easy accessibility.
- **Uniformity of social audit arrangements** at village level for all social sector programmes, so that arrangements for community participation are better institutionalized.
- **Task Group on Social Audit Constituted By CAG:** Social audit complements CAG's audit, should be integrated into social sectors for capacity building, avoiding duplication.
- **Separate Directorates** have been set up in Andhra and Rajasthan for Social Audit. This needs to be replicated across nations.
- **Easy audit training modules:** Govt must prepare easy audit training modules disseminated through ICT, workshops, and training local villagers for its effective implementation.
- **Punitive actions** for non-conformance of the process of social audit.

SOCIAL AUDIT AND INDIA

Social Audit initiatives fall into two categories:

1. One carried out by Gram Sabha, panchayats or local level vigilance committee as stipulated by the government.
2. Others carried out by civil society groups.

Case Study of Social Audit:

Rajasthan

- In Rajasthan, *Majdoor Kisan Shakti Sangathan (MKSS)* has been doing pioneering work both in the fields of Right to Information Act and Social Audit.
- MKSS applies for public expenditure documents from the Gram Panchayat using the Right to Information (RTI) Act.
- MKSS members, local & outside NGOs, and village volunteers participate in the social audit process.
- The expenditure on materials used in the project is also verified through on-site visits to the public projects undertaken.
- A "*jansunwaii*" or public hearing is organized in the village, inviting eminent persons, local officials, and activists. The findings of the social auditors are publicly declared during the jansunwaii. Villagers can contradict any point of the audit findings if they wish to do so.

Andhra Pradesh

- The state government of Andhra Pradesh involves NGOs and civil society members to facilitate the social audit process.
- These members, known as State Resource Persons (SRPs), are responsible for training villagers and Gram Panchayat members in social audit procedures.
- Villager Social Auditors (VSAs) are selected and trained to actively participate in social audits.
- VSAs are individuals who are directly impacted by the implementation of government programs, making them the real stakeholders.

Social Audit - Meghalaya Model

- Meghalaya became the first State in the country to pass a social audit legislation, the Meghalaya Community Participation and Public Services Social Audit Act.
- This Act mandated social audits across 21 schemes and 11 departments.
- Meghalaya audits had been built on traditional tribal institutions, leveraging their inherent strengths, and facilitating their engagement with contemporary democratic practices.
- The audits were deliberately positioned to be a platform for:
 - Sharing information about schemes.
 - Enhancing awareness amongst people about their entitlements.
 - Detecting beneficiaries who were eligible.
 - Recording people's testimonies and registering of grievances
 - Identifying priorities for inputs for planning.
- The Meghalaya pilots have also helped formulate a practical framework through which that can be done. Draft rules were prepared based on consultation. Thus, these social audits have helped to identify and bring evidence-based policy changes.

Public Policy

Public Policies are governmental decisions that are the result of the efforts undertaken by the government to achieve specific goals and objectives. It necessitates a deeply intertwined relationship and interaction between the major governmental agencies – the political executive, legislature, bureaucracy, and judiciary.

NATURE OF PUBLIC POLICY:

- **Goal Oriented:** They have a goal in mind. Public policies are developed and implemented in order to achieve the objectives set by the government for the ultimate benefit of the common people in general.
- **Collective actions:** It is the course of action of the governmental officials and stakeholders in a collective sense rather than their discrete and segregated decisions. **For example, Swatchh Bharat Mission** nudging society as whole to improve cleanliness.
- **Various ways of decision-making process:** What the government actually decides or chooses to do is known as public policy. It can take many forms, including legislation, ordinances, court decisions, executive orders, and decisions.
- **Positive/Negative:** Public policy is beneficial in the sense that it describes the government's concern and involves its action in response to a specific major issue on which the policy is based. It has the backing of the law and authority.
 - **Negatively, it involves decisions made by government officials to take no action on a specific issue.**

CHARACTERISTICS OF PUBLIC POLICY FORMULATION:

- **Public Interest:** The policy-making strategy is guided by a larger public interest.
- **Polycymaking is complicated** since it requires several components that are connected by contact and feedback loops.
- **Dynamic:** It's a never-ending mechanism that necessitates daily resources and encouragement input. It also evolves over time.
- Formulating public policy **necessitates a wide range of skills**, structures and substructures because of various problems, contexts, and social principles, the identity of these substructures, as well as their level of participation in policymaking, varies.
- **Future-oriented:** Policymaking is based on the future. This is one of the most crucial aspects of it. Since it introduces the ever-present elements of ambiguity and scepticism.
- **Participatory and consultative:** Various stakeholders and governments and the various government organs participate in public policy making and can influence the policy process.

LACUNAS IN INDIA'S PUBLIC POLICY:

Issues with Policy Formulation:

- **Over-centralization:** Excessive concentration of execution forces at the highest government levels.
- **Lack of Data Analysis:** Policy formulation often lacks comprehensive data analysis and field research.

- **Politically Motivated Policies:** Policies can be influenced by political interests rather than focusing on goals.
- **Limited Non-Governmental Participation:** Insufficient involvement of external expertise and informed debates in policymaking.
- **Lack of Systematic Research:** Policies are often made without thorough analysis of costs, benefits, and implications.

Issues with Policy Implementation:

- **Weak Administrative Machinery:** Inadequate administrative infrastructure at the ground level for effective implementation.
- **Poor Beneficiary Identification:** Inaccurate targeting of eligible beneficiaries leading to exclusion or benefits for the economically sound.
- **Lack of Operational Skills:** Insufficient operational skills within delivery agencies.
- **Corruption and Rent-seeking:** Increased instances of corruption, rent-seeking, and elite capture of schemes.
- **Limited Public Awareness:** People often lack knowledge about program details and their entitlements.

PLANNING IN THE NEO-LIBERAL ERA:

- A neoliberal economy is an economic approach that emphasizes limited government intervention, free-market capitalism, and deregulation.
- In the neoliberal era, planning refers to a more decentralized and market-driven approach to economic development and policymaking unlike seen in traditional centralized planning.

In the neoliberal era, planning involves:

- **Market Mechanisms:** Relying on market forces for resource allocation and pricing.
- **Limited Government Intervention:** Advocating minimal government interference in the economy.
- **Privatization:** Transferring ownership of state-owned assets to private entities.
- **Individual Initiative:** Emphasizing individual entrepreneurship and self-regulation.
- **Deregulation:** Removing or reducing regulations to allow freer market operation.
- **Globalization:** Promoting free trade and participation in the global economy.
- **Fiscal Conservatism:** Supporting balanced budgets, reduced government spending, and lower taxes.
- **Flexible Economic Policies:** Adapting policies quickly to respond to market changes.

The neo-liberal paradigm of developmental planning in India

- **Neo-liberal Developmental Planning:** Involves a policy model considering political, social, and economic dynamics.
- **Transfer of Economic Control:** Foundationally based on shifting control from the public sector to the private sector, while public funds are used for welfare.
- **Origin in India:** Initiated with the economic reforms of 1991.

- **Democratic Dilemma in India:** Presents a classic dilemma of affluence versus influence, where those able to afford access to resources may be less inclined to support public welfare efforts.

Issues related to New Liberal era:

- **Rising Inequalities:** Social inequalities and persistent poverty are central issues in the current global order.
- **Monopoly Creation:** Despite advocating market competition, neoliberalism has led to the decline of competition and the rise of near-monopolies in various economic sectors.
- **Unsustainable Growth:** Economic development under neoliberalism is characterized by intense energy use, raising concerns about sustainability.
- **Exploitation through Globalization:** Globalization has often resulted in the exploitation of the developing world, treating many countries as sources of cheap labor and raw materials.
- **Exposure of Sustainability:** The 2007-2008 Global financial crisis exposed the vulnerability of the sustainability of the neoliberal economic order, bringing the global economy to the brink of collapse.

NITI AAYOG AND SHIFT IN PLANNING IN INDIA

- **The institutions of governance and policy must adapt to new challenges** and be founded on the founding principles of the Indian Constitution, reflecting the spirit and changing nature of the new India.
- As a result, NITI Aayog (National Institution for Transforming India) was formed to replace the erstwhile Planning Commission in order **to better serve the needs and aspirations of the Indian people**. Prior to the establishment of NITI Aayog, Chief Ministers, Experts, Economists, and the general public were consulted via MyGov.

Change in policy formulation after NITI AAYOG

- **Decentralization of planning:** In NITI Aayog, State Governments have to play a more proactive role.
- **Ground level study conducted by experts:** The Knowledge and Innovation Hub: it builds the institution's think tank capabilities.
- **Long term vision:** NITI aayog focusing on strategic and long-term policy and programme frameworks and initiatives and review their progress and their effectiveness.
- **Provide a platform for resolution of inter-sectoral** and inter-departmental issues to speed up the accomplishment of the progressive agenda.
- Idea of **cooperative federalism and competitive federalism being promoted in decision making**.

WAY FORWARD:

For Better Policy Formulation:

- **Decentralization and Separation:** Decentralize policymaking and separate it from implementation, as seen in the empowerment of Gram Sabhas under Panchayati Raj.
- **Inclusive decision making:** Involve all concerned stakeholders and civil society in policy process for better planning and decision making.
- **Continuous Monitoring and Evaluation:** Strengthen monitoring through entities like the National Productivity Council and the Performance Management and Evaluation System.
- **Real-time Data Collection:** Utilize real-time empirical data for evidence-based policymaking, reducing the risk of abrupt changes with political shifts.
- **Government-Academia Linkages:** Foster collaborations between government agencies and academic institutions to overcome bureaucratic limitations.

For Better Implementation:

- **Effective Delivery Mechanism:** Establish a robust delivery mechanism with active community participation.
- **Scheme Convergence:** Merge schemes for cost efficiency and empower beneficiaries with effective choices.
- **Public Awareness:** Promote awareness among the public about scheme details and entitlements.
- **Social Auditing:** Incorporate social auditing provisions for transparency and accountability.
- **Policy Effectiveness Evaluation:** Shift from anecdotal evidence to evaluating policy effectiveness for informed decision-making.
- **Institutional Basis:** Base policymaking on a sound institutional foundation that ensures continuity and adapts to changing needs.

Conclusion: The evolving governance landscape in India demands inclusive public policy analyses, where diverse voices contribute to the development discourse, ensuring effective policies for good governance.

NON-GOVERNMENTAL ORGANIZATIONS (NGO)

NGO is defined by the World Bank as “a not-for-profit organization that pursues activities to relieve suffering, promote the interests of the poor, protect the environment, provide basic social services, or undertake community development”.

- It is a non-profit group that functions independently of any government.
- NGOs are founded on the principles of equality, altruism, and voluntary work spirit to promote human development (including environment and biodiversity) and nation building.”
- These NGOs help in achieving the ideals of DPSP. – Social and Economic Justice.

Registration of NGOs:

- NGOs in India are divided into: Societies, Charitable, Companies and Trusts.
- NGOs are registered under societies act 1860, Charitable Corporation under section 8 of Companies Act 2013, Indian Trust act 1882.

CONSTITUTIONAL PROVISIONS:

- Article 19(1)(c): Allows the right to form associations.
- Article 43 to promote cooperatives in rural areas.
- The Concurrent List mentions charitable institutions, charitable and religious institutions.

ROLE OF NGOS:

India has nearly 3.4 million non-governmental organizations (NGOs), working in a variety of fields ranging from disaster relief to advocacy for marginalized and disadvantaged communities.

- **Bridging the Gap:** NGOs endeavor to plug gaps in the government's programmes and reach out to sections of people often left untouched by state projects. They work where state resources are inadequate: Three main such areas include **education, healthcare, and food security**.
 - **Smile Foundation** is primarily a child education.
 - **Rural Health Care Foundation (RHCF)** has been working for healthcare since 2009 in West Bengal.
- **Welfare scheme implementation:** Due to their grassroot presence and proximity to the public, NGOs serve as a link between the government and end users. Thus, NGOs broadly play three roles in the implementation of government welfare schemes: **implementer, catalyst, and collaborator**.
- **Acting as a Pressure Group:** There are political NGOs that mobilize public opinion on government's policies and actions. They mobilize and organize the poor to demand quality service and impose a community system to accountability on the performance of grassroots government functionaries.
- **Role in Participative Governance:** Many civil society initiatives have contributed to some of the pathbreaking laws in the country, including the Environmental Protection Act-1986, Right to Education Act-2009, Forests Rights Act-2006 and Right to Information Act-2005. Giving platform to raise their voice - **engagement of all people on an equal footing** - NGOs **foster pluralism, diversity, and freedom**.
- **Monitoring and Accountability:** NGOs and civil society groups engage in monitoring the performance of public services and the utilization of funds. They are holding the

government accountable for its actions, and promote transparency, efficiency, and effectiveness in service delivery.

- **Mazdoor Kisan Shakti Sangathan (MKSS)** – Conducts Social Audit of govt project at gram Sabha level – their initiative led to formation of Right to Information (RTI).
- **Social Mediator:** Fighting social evils like patriarchy, social and caste-based discrimination, gender-based discrimination, untouchability, etc. It brings change in social and behavioral attitudes within the prevailing social environment for achieving desired results of change in society.
 - **Saarthi Trust**
 - **Child Rights and You (CRY):** works towards protecting children from all sorts of abuse.
- **Role of protector:** Tribal Rights - As witnessed in the Vedanta case, NGOs have raised voice against the discrimination of tribal by the multinationals.
- **Role in sustainable development:** They carry out mass awareness campaigns, tree planting drives, promoting ecologically sustainable practices.
 - **The Energy and Resources Institute (TERI):** TERI is a research institute that focuses on sustainable development and environmental issues. It conducts research, policy analysis, and advocacy to promote environmentally friendly solutions.
 - **Centre for Science and Environment (CSE):** CSE is a research and advocacy organization that aims to promote sustainable development, pollution control, and environmental awareness in India.
 - **Wildlife Trust of India (WTI):** WTI is dedicated to wildlife conservation and the protection of endangered species. It collaborates with various stakeholders to conserve biodiversity and habitats.
 - **Bombay Natural History Society (BNHS):** BNHS is one of India's oldest NGOs, focusing on birdwatching, biodiversity research, and conservation.
 - **Kalpavriksh:** Kalpavriksh works on various environmental and social issues, including biodiversity conservation, indigenous rights, and sustainable livelihoods.
 - **Grameen Foundation India:** This NGO concentrates on sustainable agriculture, clean energy, and climate change adaptation in rural communities.
 - **Marathwada Gramin Vikas Sansthan (MGVS):** MGVS promotes community-based development programmes in water and soil conservation. They collaborate with locals and government to increase groundwater, improve irrigation, and regenerate water bodies for sustainable development.
 - **Paani Foundation:** Through water harvesting and watershed management across villages in Maharashtra which made it possible to save more than a billion liters of water, which would otherwise have arrived in 1.3 million tanker loads. And Rs 272 crore worth of water is now being annually conserved.

CHALLENGES FACED BY NGOS IN INDIA:

- **Accreditation Issues:** It remains a big challenge as it is very difficult to distinguish whether an organization wants to work for the cause or has been set up only for the specific purpose.
- **Lack of Funds:** Most of the NGOs in India are suffering from paucity of funds. The government gives grants in aid to few NGOs only.
- **Corruption and Misuse of Funds:** There have been serious charges of misuse and misappropriation of funds received as grant-in-aid from the government, foreign donors, etc
- **Lack of proper networking:** Lack of communication is caused by an inadequate network. Poor networks lead to the loss of opportunity to work with the community and their participation.

- **Inequality in rural areas:** NGOs are more developed in urban areas as compared to rural areas. The backwardness and ignorance of the rural people and lack of enthusiasm among social workers are the two important reasons for the backwardness of the NGOs in rural areas.
- **Lack of Volunteerism/Social work among Youth:** Even the young graduates from social work are interested in making their career in professionalism. This leads to a lack of efficient volunteers in NGOs.
- **Political Interference:** NGO leaders identified the interference of local politicians and civic leaders as a major hindrance to their work. Where NGOs are involved in sensitive issues, such as land disputes, local leaders can threaten NGOs with de-registration.
- **Lack of Transparency:** India's disproportionate number of NGOs and the sector's lack of transparency and accountability is clearly an issue that needs reforms. There is an accountability deficit with NGOs in India.

MEASURES NEEDED:

- **2nd ARC Recommendations on accreditation:**
 - There should be a system of accreditation / certification of voluntary organizations which seek funding from government agencies.
 - The government should take the initiative to enact a law to set up an independent Body – National Accreditation Council – to take up this work.
- **Enhanced Monitoring:** The government should appoint inquiry commissions or committees to investigate NGOs' financial management, as seen in the 2017 Supreme Court order directing an audit of 30 lakh NGOs.
- **Effective FCRA Implementation:** Ensure robust enforcement of FCRA to prevent foreign contributions from funding illegal activities while facilitating resource-sharing.
- **Collaborative Partnerships:** Universities, colleges, and schools can collaborate with NGOs for campus interviews and engage young graduates in volunteering opportunities.
- **Focus on Rural Areas:** Given that rural areas comprise 65% of India's population, NGOs should expand operations in these regions to empower and improve the lives of villagers.
- **Technology Integration:** NGOs can leverage internet technologies and websites to raise funds, forge alliances, advertise services, and recruit skilled personnel.
- **Recognition and Awards:** The government should acknowledge the contributions of welfare-focused NGOs by honoring them with awards and providing additional funding to support their impactful work.

WHY HAVE NGOS BEEN CONTROVERSIAL RECENTLY?

- **Undermining Development Activities:** A report by India's Intelligence Bureau accused NGOs such as Greenpeace, Cordaid, Amnesty, and Action Aid for reducing India's GDP by 2-3% per year.
 - Intelligence Bureau, in a report accused "foreign-funded" NGOs of "serving as tools for foreign policy interests of western governments".
- In April 2015, the Government of India shared a list of over 42,000 NGOs with the Financial Intelligence Unit (FIU) to check suspicious foreign funding amid the crackdown on some top international donors for flouting the Foreign Contribution Regulation Act (FCRA), 2011.
 - The Home Ministry had cancelled the FCRA licenses of 10,000 organizations, including Ford Foundation, Greenpeace, etc.
- In 2018, FCRA registration of nearly 19000 NGOs were cancelled and they were barred from receiving foreign funding.

FOREIGN CONTRIBUTION (REGULATION) ACT (FCRA), 2010

- Foreign funding of voluntary organizations in India is regulated under FCRA act and is implemented by the Ministry of Home Affairs.
- The act ensures that the recipients of foreign contributions use the fund for the stated/intended purpose.
- Recently, The Foreign Contribution (Regulation) Amendment Bill, 2020 was passed by Parliament to amend the Foreign Contribution (Regulation) Act, 2010.

Provision of Foreign Contribution Regulation Amendment Act, 2020:

- **Aadhaar for registration:** The Bill makes Aadhaar number mandatory for all office bearers, directors or key functionaries of a person receiving foreign contribution, as an identification document.
- **Reduction in use of foreign contributions for administrative purposes:** The Bill proposes that not more than 20% of the total foreign funds received could be defrayed for administrative expenses. In FCRA 2010 the limit was 50%.
- **Barred from taking funds:** Election candidates, newspaper editors and publishers, judges, government employees, members of any legislature and public servants are also barred from accepting foreign contributions under the Act.
- **Prohibition on Sub-Grants:** The 2020 amendment prohibited NGOs from transferring foreign contributions to other organizations through sub-grants. This measure was introduced to enhance transparency and ensure that foreign funds are used only for the intended purposes.
- **Bank Account with Designated Branch:** NGOs receiving foreign funding are now required to open an FCRA-designated bank account in a specific branch of the State Bank of India (SBI), New Delhi. This measure aims to centralize monitoring and streamline fund utilization.
- **Government Approval for Change of Key Functionaries:** NGOs are required to seek prior approval from the government before making changes in their key functionaries, such as the president, secretary, or treasurer. This provision was introduced to ensure that NGOs maintain stability and transparency in their leadership.
- **Suspension and Cancellation of FCRA Registration:** The amended FCRA empowers the government to suspend or cancel an NGO's FCRA registration if there are any violations or non-compliance with the rules. This gives the government more authority to regulate and act against errant organizations.

Purpose of amendment:

- Similarly, many recipients of foreign contributions have not utilized the same for the purpose for which they were registered or granted prior permission under the FCRA 2010.
 - Recently, the Union Home Ministry has suspended licenses of the six (NGOs) who were alleged to have used foreign contributions for religious conversion.
- Many persons were not adhering to statutory compliances such as submission of annual returns and maintenance of proper accounts.
- Such a situation could have **adversely affected the internal security** of the country.
- These amendments aim to **enhance transparency and accountability** in the receipt and utilization of foreign contributions and facilitating the genuine non-governmental organizations or associations who are working for the welfare of society.

Importance of FCRA:

- **For continuous Development:** Some foreign-funded NGOs face allegations of protesting against development projects; for instance, Greenpeace protested the Kudankulam nuclear plant.
- **Protecting Indian Society:** Foreign contributions used for socio-cultural activities have raised concerns about threatening social harmony, as seen with Compassion International's allegations of religious conversion.
- **Preserving Sovereignty:** The Supreme Court acknowledges that unrestricted foreign contributions may impact the nation's sovereignty and integrity.
- **Promoting Transparency:** Regulation through FCRA helps make NGOs transparent, identifying financial irregularities, and ensuring intended utilization of foreign funds, like in the case of Sabrang Trust's revoked FCRA registration due to mixing foreign and local funds in 2016.
- **Curbing Corruption:** FCRA prohibits public servants from accepting foreign funds to reduce corruption and actions against the state's interest.

Challenges due to FCRA:

- **Political Targeting:** NGOs have faced de-licensing under FCRA based on political and ideological differences, leading to concerns about political targeting.
- **Restriction on Exploration:** Limitations on administrative expenses curtail NGOs' capacity to explore and hire experts, impacting their efficiency.
- **Constraints for Smaller NGOs:** Prohibition on Sub-grant hinder cooperation among NGOs, particularly smaller ones, affecting last-mile connectivity in education and healthcare.
- **Privacy Concerns:** The mandatory Aadhaar requirement for office-bearers contradicts the Supreme Court verdict on Aadhaar and raises privacy issues.
- **Geographical Limitations:** The demand for an SBI Delhi account may be impractical for NGOs operating in distant areas.
- **Impact on Social Welfare:** The regulations could cause a fund crunch and hinder welfare activities for organizations engaged in the social sector.

Way Forward:

- **Vijay Kumar Committee Recommendations:** Create a searchable database of NGO details for increased transparency and establish a nodal body, possibly NITI Aayog, to oversee interactions between NGOs and the government.
- **2nd Administrative Reforms Commission (ARC) Proposal:** Decentralize and delegate powers under FCRA to State governments or district administrations for more efficient regulation. It will help in:
 - Speedy disposal of registration petitions.
 - Close monitoring of their activities.
 - Scrutiny of returns.
- **Fair Deregistration Process:** Provide reasonable opportunities to NGOs before deregistering them from foreign funding to ensure fairness and due process.
- **Technology Integration:** Utilize digital technology, such as expanding the Darpan portal, to streamline compliance procedures for NGOs receiving foreign funding.
- **Enhanced Auditing:** Implement proper and timely auditing practices to address any misappropriation of funds and ensure financial accountability.

S. Vijay Kumar Committee has recommended several steps to ensure the “light regulation” of non-governmental organizations (NGOs):

- Registration procedures be modernized to facilitate the seamless operation of the applicable provisions of the IT (Income Tax) Act and FCRA (Foreign Contribution Regulation Act) with respect to NGOs, without the need for cumbersome and intrusive processes.
- Steps must be taken to “reduce the need for a physical interface between NGOs and public officials acting under the IT Act and the FCRA, along with reduction in mutual distrust and scope for misuse.
- The committee has drawn up a framework of guidelines for the accreditation of NGOs, audit of their accounts, and procedures to initiate action for recovering grants in case of misappropriation.
- A nodal body oversees the various interfaces between NGOs and the government and has recommended that NITI Aayog be vested with the power.

SELF HELP GROUPS (SHGS)

Definition:

- A Self-Help Group (SHG) is a self-governed, peer-controlled group of individuals with similar socio-economic backgrounds, working collectively towards a common goal.
- The important functions of a Self-Help Groups are:
 - to encourage and motivate its members to save,
 - to persuade them to make a collective plan for generation of additional income.

ORIGIN OF SHGs IN INDIA:

- SHG as an organized way for poverty eradication was immersed during the 7th Five Year Plan (1985-90).
- NABARD- SHG bank linkage pilot programme 1992: The basic idea of the SBLP is to link the unorganized sector of our population to the formal banking sector.

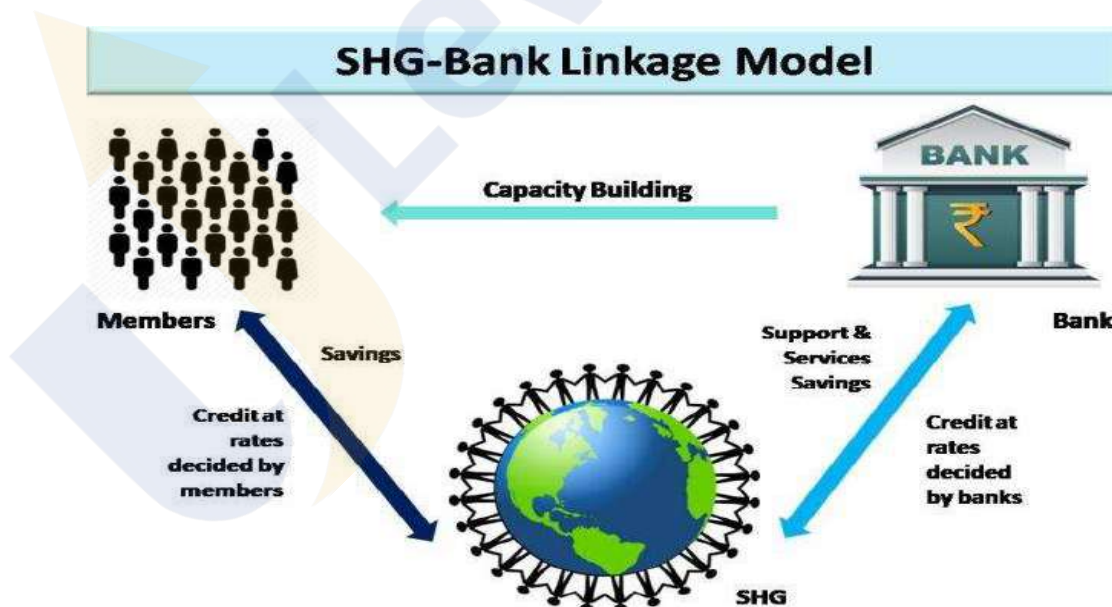
Objectives

- **Financial inclusion:** Empower members with access to credit and savings to alleviate poverty.
- **Women empowerment:** Enhance women's social and economic status through self-reliance and decision-making.
- **Skill development:** Foster capacity-building, skill development and entrepreneurship skills to enhance livelihood opportunities.
- **Social support:** Create a support network to address social issues and promote collective well-being.
- **Microenterprise promotion:** Support small businesses and income-generating activities for economic growth.
- **Awareness and education:** Raise awareness on health, hygiene, and education for personal and community development.
- **Asset creation:** Facilitate asset accumulation for economic stability and resilience.
- **Rural Development:** SHGs ensure rural development through financial inclusion, skill development, microenterprise promotion, and community initiatives, empowering individuals and promoting sustainable practices for holistic growth at the grassroots level.

Measures Taken by the Government to Promote the SHGs:

- Recently, PM participated in 'Atmanirbhar Narishakti se Samvad', where he released capitalization support funds of Rs. 1625 Crore to support over 4 lakh SHGs.
- On the recommendations of **SK Kalia Committee**, the SHG-Bank linkage programme was started at the initiative of NABARD in 1992 to link the unorganized sector with the formal banking sector.
 - Banks were allowed to open savings accounts for Self-Help Groups (SHGs).
- GOI has included SHG as a priority sector lending group to mandate and enhance banks focus on them.
- **E-SHAKTI PROJECT OF NABARD: eShakti, or SHG Digitisation**, is a project of NABARD which aims at the digitization of all the Self-Help Group (SHG) accounts. This enables them to access a broader range of financial services.
- Priyadarshini scheme: With NABARD as the nodal agency, it has aimed at women empowerment and livelihood enhancement through SHGs.
- Mahila Kisan Sashaktikaran Pariyojana: To promote agro-ecological practices through SHG Model that increase women farmers' income and reduce their input costs and risks.

- As of March 2018, more than 33 lakh women farmers were being supported under this scheme.
- **DAY-NRLM (Deendayal Antyodaya Yojana - National Rural Livelihoods Mission) (Aajeevika Mission):** The objective is to organize rural poor women into SHGs, provide continuous support, and help them engage in economic activities to significantly increase their income, improve their quality of life, and lift themselves out of poverty. The main features of AJEEVIKA are:
 - One woman from each identified rural poor household to be brought under the SHG network.
 - As of 31st May, 2021, 5.96 crore women have been mobilized into 54.07 lakh women Self Help Groups (SHGs) under the programme.
 - Training of beneficiaries for skill development and capacity building.
 - Financial inclusion etc.
- **Tejaswini initiative:** Tejaswini is a World Bank-supported project in India that focuses on empowering adolescent girls and young women through the promotion of SHGs, vocational training, and entrepreneurship development.
- **Self-Employment Programme (SEP):** Under the programme interest subvention over and above 7 percent rate of interest is available to all SHGs accessing bank loans. An additional 3 percent interest subvention is also available to all women SHGs who repay their loan in time.
- **Formation of Federations:** The government has encouraged the formation of higher-level institutions like Village Organizations (VOs) and Cluster Level Federations (CLFs) that bring together several SHGs.
 - Under DAY - NRLM programme, Revolving Funds (RF) @ Rs.10,000-15,000 per SHG and Community Investment Support Fund (CISF) @ maximum of Rs.2,50,000 per SHG is provided to Self Help Groups (SHGs) and their Federations to take up self-employment for income generation.
- **SHG-Bank Linkage Model:** The Self-Help Group-Bank Linkage Programme (SBLP) was started in 1992 at the initiative of **NABARD**. The basic idea of the SBLP is to **link the unorganized sector** of our population to the formal banking sector.



CASE STUDIES: SHGs

- **Kudumbashree in Kerala:**
 - o Kudumbashree is a government-run organization with a budget and employees who are paid by the government.
 - o It began in Kerala in 1998 with the aim to eradicate total poverty through collective action and is the country's largest women's empowerment initiative.
- **Mahila Arthik Vikas Mahamandal (MAVIM) in Maharashtra:**
 - o MAVIM established a community-run resource center (CMRC) to provide financial and livelihood services to SHGs.
 - o CMRC is self-supporting and offers programmes based on needs.
- **Social Initiatives:** The network has initiated various social initiatives aimed at addressing social issues such as education, health, sanitation, and environmental conservation.
- **Political Representation:** Kudumbashree members have become elected representatives in local government bodies, giving them a platform to voice the concerns and needs of their communities.
- **Philanthropic Contribution:** During a severe flood in Kerala, Kudumbashree members selflessly donated Rs 7 crore to the Chief Minister's relief fund, surpassing the contributions of tech giants like Google.

Shortcomings of SHGs:

- **"Socio-Cultural Challenges Impede SHG Penetration in Rural Areas":**
 - The southern states of Andhra Pradesh, Karnataka, Kerala, and Tamil Nadu accounted for 71% of the related SHGs.
 - Poorly performing states include those with a high poverty rate, such as UP and Bihar.
 - Cultural norms and social stigmas can discourage women from participating in SHGs.
 - States where patriarchy is deeply ingrained, and women's financial and social roles are restricted.
 - Due to family obligations, most women members are unable to devote their full attention to their businesses.
- **Mostly engaged in Agricultural Activities:** SHGs in rural areas should be introduced to non-agricultural businesses too and should be provided with state-of the art machinery.
 - Many activities carried out by SHGs are still dependent on primitive skills with low-value addition per worker, particularly in the primary sector.
 - Radhakrishnan Committee examined Credit Related Issues in SHG found that most of the SHGs remained concentrated on low productivity, primary sector activities and that SGSY could be made successful if SHGs could shift to high productivity areas.
- **Credit Mobilization:** A study has shown that about 48% of the members had to borrow from local money lenders, relatives, and neighbors.
 - In the absence of any documentary proof, this class of people do not have access to organized financial services.
- **Poor Infrastructure:** Most of these SHGs are situated in rural and far-reaching areas that lack connectivity via road or railways - adversely affect connectivity to larger marketplaces.
- **Sustainability:** Some SHGs struggle to maintain their activities and disintegrate over time due to lack of proper support, inadequate training, or insufficient linkages with formal financial institutions.

Suggestions to Improve the Working of SHGs:

- **Simplify the process of giving loans** - ease access to credit.
- An integrated approach is required for meeting the **backward linkages with technology and forward linkages with processing and marketing organizations**.
- The delivery system must be proactive and should respond to the financial needs of the farmers.
- **Training programmes** relating to management of finances, maintaining accounts, production and marketing activities etc. should be given.
- **Skill development:** Skill development of SHG members is a crucial aspect of empowering them to participate in higher value-added products and services.
- **Provide gender sensitization training to bank staff** so that they are sensitized to the needs of rural clients especially women.
- **Adequate insurance coverage** should be provided to the business units promoted by SHG against the financial losses to safeguard the interest of the entrepreneurs.
- **Increasing the number of SHGs in credit-deficient areas** of the country, like Madhya Pradesh, Rajasthan, and the North-Eastern states.
- **Extension of Self-Help Groups to Urban/Peri-Urban Areas** given the fact that many Urban poor remain financially excluded, attempts should be made to increase their ability to generate income.
- A **separate SHG monitoring cell** must be created that collects both quantitative and qualitative data.

Emergence of the Self-Help Groups (SHGs) leading to steady withdrawal of the State from developmental activities:

SHGs represent a form of decentralized, participatory development, where individuals come together voluntarily to address their socio-economic needs collectively. This development model contrasts with traditional top - down approaches where the State or government takes primary responsibility for all developmental activities.

Reasons for rise of SHGs and the perceived withdrawal of the State from developmental activities:

- **Empowerment and Participation:** SHGs empower communities, especially marginalized sections like women and rural populations (social inclusion), to actively participate in their own development.
 - This ensures that they don't remain just a passive beneficiary in the development process.
 - By organizing themselves, these groups take charge of their needs and seek solutions independently.
- **Localized Problem-Solving:** Find local solutions of local problems.
- SHGs, operating at the grassroots level, possess a better understanding of their communities' distinctive challenges and opportunities.
- **Resource Mobilization:** SHGs rely on member savings and contributions, this self-sufficiency reducing dependence on external funding sources like government aid.
- **Efficient Utilization of Resources:** SHGs often have a more efficient and targeted use of resources as they have a *firsthand understanding of local priorities*, unlike distant centralized bureaucracies.

- **Faster Implementation:** SHGs can implement projects faster and more responsively than bureaucratic government systems due to their active participation, avoiding burdensome administrative processes.
- **Community Ownership:** Active community participation through SHGs fosters a sense of ownership and responsibility, ensuring long-term sustainability and continuity of development initiatives.
- **Complementing State Efforts:** SHGs complement the State's developmental activities, working collaboratively towards common goals while still receiving support from the government.

State cannot be replaced, SHGs changed their mode of participation:

- The establishment and promotion of SHGs represents a complementary approach to development rather than a replacement of State-led initiatives.
- The State's involvement in developmental activities can take different forms and may include policy support, funding, capacity-building, and monitoring.
- Governments recognize SHGs' potential for inclusive development and collaborate through various programs to address goals like poverty alleviation, women's empowerment, rural development, livelihood enhancement, etc.
- The top-down approach, welfare-based approach didn't yield desired result in addressing above issues.

Suggestion to strengthen this mode of partnership:

- **Synergistic Approach:** Foster collaboration between SHGs and the State for more effective development.
- **Strengthening SHGs:** Invest in skill development and capacity-building for SHG members in financial management and entrepreneurship.
- **Policy Alignment:** Align government policies with SHGs' objectives for growth and success.
- **Monitoring and Evaluation:** Regularly assess SHG projects for accountability and improvement.
- **Scale-up and Replication:** Expand successful SHG models to maximize impact in other regions.
- **Innovation and Technology:** Embrace tech solutions for streamlined SHG operations.
- **Collaborative Partnerships:** Engage public-private partnerships to support SHGs with expertise and resources.

A collaborative and synergistic approach that leverages the strengths of both the State and Self-Help Groups is essential for achieving sustainable and inclusive development.

MICRO-FINANCE INSTITUTION

- Microfinance, also called microcredit, is a type of banking service that is provided to unemployed or low-income individuals or groups who otherwise would have no other access to financial services.
- Microfinance institutions (MFIs) are financial institutions working towards the upliftment of the needy and underprivileged section of the society by providing short-term loans to set up their own venture.

Features of Microfinance Institutions:

- **Financing the unfinanced:** The World Bank estimates that more than 300 million people have directly or indirectly benefited from microfinance-related operations in India.
- **Promote Entrepreneurship:** MFIs encourage entrepreneurship by offering small loans to individuals to start or expand their businesses.
- **Micro-savings:** MFIs encourage people to save small amounts regularly, building a financial safety net and promoting financial discipline.
- **Non-Financial Services:** Some MFIs also offer non-financial services alongside financial products such as financial literacy training, business development services, vocational training, etc.
- **Social Mission:** Most MFIs have a dual mission of financial sustainability and social impact. They aim to achieve both financial viability and positive social outcomes, such as poverty reduction and women's empowerment.

Role of Microfinance Institutions in Development:

- **Economic empowerment:** Provide financial resources, training, and support to empower individuals and communities to improve their economic status.
- **Women Empowerment:** Providing financial services to underprivileged women fosters economic growth, empowering them, leading to family and societal stability and prosperity.
- **Poverty Alleviation:** Microfinance breaks the cycle of poverty by providing credit to poor households for income-generating activities, leading to improved economic conditions.
- **Rural Development:** Enabling unemployed rural individuals with formal credit fosters entrepreneurship, leading to job creation, trade, and economic advancement in the community.
- **Reduce rural to urban migration:** Create employment and livelihood opportunities in rural regions to discourage migration to cities in search of work.

Issues Related to Microfinance Institutions:

- **Over-Indebtedness:** Borrower of MFIs can become trapped in a cycle of debt due to multiple borrowing or high-interest rates. Over-indebtedness can lead to financial stress and negatively impact the well-being of borrowers.
- MFIs' charge a very high rate of interest (12-30%) as compared to commercial banks (8-12%).
- **Over-dependence on the banking sector:** Around 80% of their funds come from banks.
- **Lack of awareness of financial services:** Financial literacy is very low in India. People do not understand basic financial concepts.
- **Sustainability and Profitability:** MFIs face the challenge of balancing social mission and financial sustainability while serving low-income clients and maintaining affordability.

Suggestions to Improve the Working of Microfinance Institutions:

- **Supervision:** There is a need for field supervision of MFIs to check ground realities and the operational efficiency of such institutions.
- **Incentivizing rural penetration:** Incentives should be offered to MFIs for opening branches in unbanked villages, to increase rural penetration.
- **Improving services**
 - MFIs are encouraged to offer a complete range of products to their clients.
 - Transparent pricing and technology implementation to maintain uniformity and efficiency.
- **Funds availability:** Inability of MFIs in getting sufficient funds is a major hindrance in the microfinance growth and so these institutions should look for alternative sources of funds.
- **Information and technology:** It can have a massive impact on credit accessibility.
- **Separate regulatory authority:** The Indian microfinance industry came a long way from 1975 with the development of RRB (Regional and Rural Banks).
 - To discourage malpractice and political influence.
- **Strengthening the credit check and debt collection processes** and educating the villagers about products and consequences is important.

Case Study

- **SEWA Cooperative Bank** was initiated in 1974 in Ahmedabad, Gujarat, by Ela Bhatt which is now one of the first modern-day microfinance institutions of the country.
- the SEWA (Self-Employed Women's Association) Bank in India has established SHGs, providing women with microfinance services and enabling them to start small businesses, such as tailoring or handicrafts.
- The National Bank for Agriculture and Rural Development (**NABARD**) offered financial services to the unbanked people, especially women.

SHGs and microfinance enhance financial inclusion and empowering vulnerable communities, but scrutiny is vital for sustained success, ensuring legitimacy and accountability. Let's discuss some key aspects:

- **Transparency and Governance:** Regular audits and financial reporting should be mandatory, ensuring that funds are appropriately utilized and distributed among members.
- **Ethical Lending Practices:** Transparent loan terms, reasonable interest rates, and appropriate risk assessment are essential to prevent borrowers from falling into a cycle of debt and ensure accountability in the lending process.
- **Social Impact Assessment:** The assessment should go beyond mere financial indicators and consider factors such as improvements in livelihoods, education, healthcare, and women's empowerment. Social audits can help gauge the effectiveness of these initiatives and identify areas for improvement.
- **Inclusivity and Empowerment:** Women's participation and decision-making roles within SHGs should be encouraged and supported.
- **Client Protection:** Protecting the rights and interests of borrowers is paramount. Grievance redressal mechanisms should be in place to address any complaints or issues.
- **Regulatory Framework:** A robust regulatory framework should be in place to monitor their operations, safeguard consumer rights, and prevent potential malpractices.

DONORS

ABOUT DONOR AGENCIES:

- Donor agencies, also known as development agencies or international aid organizations, are entities that provide financial and technical assistance to support various development projects and initiatives in countries around the world.
- They play a significant role in funding and implementing programs aimed at improving socio-economic conditions, promoting sustainable development, and addressing humanitarian challenges.
- Examples: USAID, Bill & Melinda Gates Foundation, etc.

According to Union Home ministry around 22000 NGOs got Rs 55449 cr foreign funding in last 3 yrs. Advances in communication technology and the rise of online fundraising platforms have made it possible for NGOs to reach a global audience and solicit donations from supporters around the world.

DONORS PLAY A CRUCIAL ROLE IN SUPPORTING THE WORK OF NGOS THROUGH:

- **Mobilizing Resources:** Donor agencies often bring significant financial resources, technical expertise, and access to international best practices, which can be valuable for addressing complex development challenges.
- **Knowledge Sharing:** Donors can facilitate knowledge exchange and capacity building, providing opportunities for local communities to learn from global experiences and best practices.
- **Advocacy and Accountability:** Donor involvement can sometimes increase transparency and accountability in the development process, as donors may demand better governance and monitoring.
- **Access to Networks and Resources:** Partnering with donors enables NGOs to access valuable networks, collaborations, and resources, leading to increased visibility, knowledge-sharing, and growth opportunities.
- **To ensure sustainability – as it allows NGOs to diversify their funding sources.**
- **To scale up operation**

ISSUES ARISES WITH DONOR INVOLVEMENT:

- **Lack of Ownership:** When development projects are primarily funded and controlled by donor agencies, there is a risk of the local communities feeling detached and less invested in the outcomes.
 - Without a sense of ownership, communities may not fully engage in the implementation and sustainability of the projects.
- **Imbalance of Priorities:** Donor agencies' agendas may not align with local communities' needs, leading to mismatches between project objectives and on-ground requirements.
- **Limited Local Knowledge:** Donor agencies' lack of understanding of the local context and specific challenges can lead to projects not effectively addressing the community's unique needs.
- **Dependency Syndrome:** Excessive donor funding reliance can foster dependency syndrome, hindering local capacity development and self-reliance.

- **Top-down Approach:** Donor-funded projects often use a top-down approach, limiting genuine community participation and stifling grassroots innovation and creativity.
- **Culture clash:** The values and culture of international donors may differ from those of the local community, leading to tensions or misunderstandings.
 - **For example:** The "Sea Shepherd", a French NGO advocating for environmental conservation, proposes a policy to ban fishing in a coastal community.

To strike a balance, it is crucial to ensure that community participation remains at the core of the development process, even when donor agencies are involved. This can be achieved by:

- **Engaging Communities from the Start:** Involving local communities from project conception to design and implementation ensures that their voices are heard, and their needs are integrated into the development plans.
- **Strengthening Local Institutions:** Building the capacity of local institutions empowers communities to take charge of their own development initiatives, reducing dependency on external aid.
- **Promoting Inclusivity:** Ensuring representation from all segments of society, including marginalized groups, can lead to more inclusive and sustainable development outcomes.
- **Adopting Bottom-up Approaches:** Prioritizing community-driven development models allows projects to be more contextually relevant and sustainable.

Balancing external support with community empowerment is vital for fostering sustainable development outcomes that genuinely benefit the people they are meant to serve.

ROLE OF CIVIL SERVICES IN A DEMOCRACY

About Civil Services:

Civil service is the fourth branch of the government. They are the permanent executives of the state. They are an asset for the state to achieve its developmental goals.

What is meant by Civil Service?

The civil service, under the executive branch, consists of permanent government officials appointed to serve the public interest and carry out day-to-day government functions, including the implementation of laws.

CONSTITUTIONAL PROVISIONS RELATED TO CIVIL SERVICES:

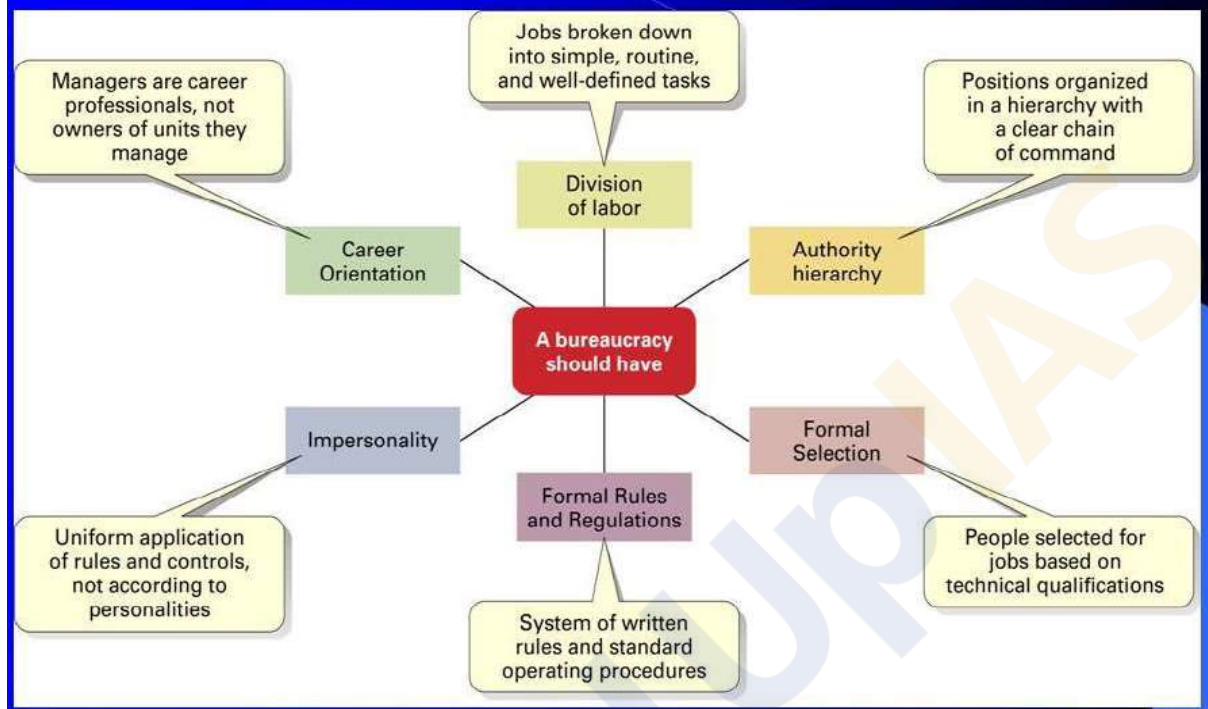
- Civil Services is governed by Part XIV of the Constitution (Article 308- 323).
- Article 309: It empowers the Parliament and the State legislature to regulate the recruitment, and conditions of service of persons appointed, to public services and posts in connection with the affairs of the Union or of any State respectively.
- Article 310: Anyone holding any post connected civil services holds office during the pleasure of the President or Governor of the State.
- Article 311: Dismissal, removal, or reduction in rank of persons employed in civil capacities under the Union or a State.
- Article 312: All India Services.

CHARACTERISTICS OF BUREAUCRACY

Major characteristics of bureaucracy, in line with Weber's definition are:

- **Hierarchy:** There is a clear-cut division of work, authority, responsibility, and other job components. Each lower office is under the control and supervision of the higher office.
- **Formal selection:** Selection is based on merit and skill.
- **Rules and Procedures:** In bureaucracy, decisions are governed by rules, regulations, and procedures, which are written, rational and impersonal. A bureaucrat's behavior is guided by discipline and rules of conduct.
 - It leads to consistency in employee behavior.
- **Impersonal:** All workers are handled fairly by hierarchical organizations. Power and authority come from the post rather than person, so this does not allow personal differences to affect the work.
- **Specialization:** Bureaucratic tasks are divided into functionally distinct spheres, each furnished with the requisite authority and sanctions. There is a functional specific division of labor.
- **Career orientation:** It seeks to ensure that the right individuals with the necessary expertise are selected for roles, and career advancement is based on a combination of competence and objective criteria.

MAX WEBER'S BUREAUCRACY



Criticism of Bureaucratic Organization

Max Weber's Hierarchical Management Approach still has several fault lines and has attracted criticism for that.

- The focus is only on rules and laws. – More focus on means rather than ends.
- Owing to so much formality and laws, organization and communication were hindered.
- Bureaucracy requires a lot of paperwork and has an extensive level of authority, resulting in a lot of time, effort, and resources being wasted. Not optimal for effectiveness.
- The bureaucratic system gives top-level management all significance and control.

And there are just so many rules and degrees of authority. It gives the workers a greater sense of security. But a window for "red-tapism" is created by bureaucratic management.

BUREAUCRACY AND DEMOCRACY

Relationship in Civil Services and Democracy

- Democracy is an egalitarian concept under which the citizens who rule them are chosen by the people they govern. The executive branch includes the civil service. While ministers are temporary members of the executive and are, related or replaced by the people (through elections), civil servants are permanent members of the executive.

Paradoxical relation between Democracy and Civil services:

- Democratic institutions are assumed to be open to popular expectations and to try to translate those preferences into positive results for their people. Civil services, on the other hand, are legalistic and generally unconcerned with the needs and demands of Individuals.

- Civil services are often aligned with traditional, bureaucratic, and sometimes authoritarian forms of government. They work on the foundation of institutionalizing a system of governance that aims to ensure that people are treated equally.
- Whereas, participation, consensus-building, and a flexible mindset are all characteristics of democracy, without being constrained by a plethora of laws and regulations.

Complementary relation between Democracy and Civil services:

- They are both needed for efficient and receptive governance.
- Democratic governance must strike a balance between responsiveness and consistency and neutrality.
- A codified bureaucracy is necessary for a democracy's successful operation.

ROLE PLAYED BY CIVIL SERVICES

- **Advisory Role:** Assisting the executive in policymaking, formulating proposals, and evaluating options.
 - Non-partisan advice to political leadership.
- **Institutionalizing Change:** Critical role in development and promoting modern ideas in society.
- **Continuity in Governance:** Ensuring stability and continuity in the system.
 - Service delivery at the cutting-edge level
- **Agent of Development:** Performing developmental functions in various sectors.
- **Discharging Delegated Functions:** Handling delegated powers and accountability.
- **Administering Law:** Enforcing rules and governing behavior in society.
- **Watchdogs:** Protecting public assets and safeguarding property.
- **Continuity in Political Instability:** Maintaining governance during political changes.
- **Record-Keeping:** Maintaining meticulous records of government functioning.
- **Channel of Communication:** Acting as a communication link between citizens and policymakers.

ISSUES ASSOCIATED WITH INDIAN CIVIL SERVICES

- **Outdated Rules and Procedures:** Hinder independent judgment – Red tapism.
- **Inefficient Incentive Systems:** Meritorious civil servants not adequately rewarded; frequent transfers as punishment.
- **Lack of Transparency and Accountability:** Unethical practices and declining public perception of fairness.
- **Erosion in Values and Ethics:** Rampant corruption and nepotism.
- **Systemic Inconsistencies in Promotion:** Civil Service Board recommendations not followed in many states, leading to political compliance - promotion based on seniority, not performance.
- **Arbitrary and Whimsical Transfers:** Political interference results in unfair transfers and instability.
- **Administrative Acquiescence:** Over-centralization and complex management structures constrain civil service.
- **Elitist Nature:** Resistance to change due to vested benefits and opportunities.
- **Opposition to Lateral Entry:** Hindrance to development and policymaking requiring specialized expertise.
- **Lack of Professionalism and Capacity Building:** Debate on generalists vs. specialists in governance reforms.

REFORMING BUREAUCRACY TO STRENGTHEN DEMOCRACY

- A multi-stakeholder feedback (MSF) performance evaluation position.
- **A 360-degree appraisal report**
- Strengthening training mid-career training and training based on developing the core competence instead of fits for all training approach.
- **Insulating Civil Servants from Undue Political Interference:** The 2nd ARC suggested that there is a need to safeguard the political neutrality and impartiality of the civil services.
 - Setting up a civil services board for posting and transfer
- Professionalization with Stability of Tenure and Competition: Civil servants should be encouraged to move laterally to non-government organizations.
 - The **Surinder Nath Committee** advocates using performance assessment for an officer's growth and placement in a suitable environment to maximize their talents and potential.
- **Citizen-Centric Administration:** In 2004, the **Hota Committee** recommended that information and communication technology (ICT) be used for effective and accountable service delivery.
- **Accountability:** To protect honest civil servants from malicious prosecution and abuse, the Hota Committee recommended amending Sections 13 (1) (d) and 19 of the Prevention of Corruption Act, as well as Section 197 of the Code of Criminal Procedure.
- **Outcome Orientation:** The **Hota Committee** proposed replacing annual confidential reports (ACR) with a performance management framework emphasizing **objective evaluation** against agreed work plans.
- Reorient training: To meet job-outcome oriented goals training should be reoriented to focus on the latest issues and challenges (Digital awareness, biotechnology, geo-informatics).
- Mid-career exams/skill assessment might be undertaken to evaluate and decide on future postings.

MID-CAREER PERFORMANCE APPRAISAL

Mid-career Performance appraisal is meant to be **a joint exercise between the Government servant reported upon and the Reporting Officer particularly after every fixed period for taking note on performance.**

While fixing the targets, priority should be assigned item-wise, taking into consideration the nature and the area of work.

Importance of Mid-Career Performance appraisal

- Enhance efficiency and knowledge: It'll update the knowledge and efficiency in work base of the participant in the rapidly changing environment.
 - o Good hardworking civil servants will get rewarded.
 - o Clear performance standards shall be fixed.
- Will help to develop competencies for changes in the job profile, as would happen when a promotion takes place.
- Can also serve as a medium for enhancing formal qualifications, thereby creating greater confidence in an officer.
- Reduction in political interference due to fixed targets and continuous reports of performance of civil servants.
- It would compel bureaucrats to put more diligence to score a better review.
- Induce professionalism in the departments.
- Weeding out of the inefficient lot would make place for better candidates.

LATERAL ENTRY ISSUE

Lateral entry, in the context of government or public administration, refers to the recruitment of individuals from non-traditional backgrounds or sectors directly into higher-level positions within the bureaucracy. Instead of entering through the regular entry-level examinations and progressing through the established hierarchy, lateral entrants are appointed to senior roles based on their expertise, experience, and skills in a specific domain.

Expert Group Recommendations on Lateral Entry:

- **1st Administrative Reforms Commission (ARC):** Advocated specialization in government functions, creating professional services like Indian Engineering Services. Recommended selection of senior management from diverse sources based on competence.
- **Surinder Nath and Hota Committees (2003, 2004):** Recommended domain expertise in civil services.
- **2nd Administrative Reforms Commission (ARC - 2005):** Urged lateral entry at Central and state levels, incorporating armed forces' performance appraisals.
- **Earlier Lateral Entrants:** Nandan Nilekani, Montek Singh Ahluwalia, Vijay Kelkar, Arvind Subramanian, and Raghuram Rajan have led committees and organizations from outside the traditional services.

Need for Domain Experts:

- **Technical Knowledge:** Domain experts offer insights into policy challenges and ground-level realities, crucial for effective implementation.
- **Lack of Field Knowledge:** Generalists lack awareness of field realities, emphasizing the need for specialists.
- **Improving Governance and Performance:** NITI Aayog suggests lateral entry to add competitiveness, especially for officer shortage.
- **Filling Officer Vacancy Gap:** Baswan Committee and Ministry of Personnel recognize the officer shortage, supporting lateral entry.
- **Entry and Retention of Talent:** Lateral entry ensures talent entry and retention in government positions with high demand.

Arguments Against Lateral Entry:

- **Lack of Field Experience:** External talent lacks the field experience of career civil servants.
- **Execution Challenges:** Career civil servants excel at bridging policymaking and ground-level execution.
- **Instances of Failure:** Past failures in sectors operated by the private sector raise concerns about external talent success.
- **Non-Conducive Milieu:** A challenging operating environment impacts efficiency, hindering results even with capable managers.
- **Motivated Interests:** Short-term lateral entry may lead to unethical practices due to differing motivations.
- **Internal Tussle:** Widespread lateral induction may erode confidence in the government personnel management system.

Challenges Associated with Lateral Entry:

- **Bureaucratic Resistance:** Existing officials may resist cooperation, adapting to a hierarchical culture, and face demotivation.
- **Evaluation Complexity:** Assessing the success of lateral entrants, given their complexities, poses challenges.

- **Transparency and Accountability:** Maintaining transparency and accountability for decisions made by private individuals is challenging.
- **Lack of Field Experience:** Lateral entrants may have domain knowledge but may lack field experience.
- **Reservations and Transparency:** Uncertainty about reservations and potential political motivation can undermine transparency.

Way Forward:

- **Internal Creativity Nurturing:** Encourage creativity from within, fostering a strong management structure.
- **Performance Assessment and Staff Management:** Emphasize stringent performance assessment and improved staff management rather than lateral induction.
- **Reforms in Civil Service:** Initiate civil service reforms ensuring protection from political coercion and specialized career paths.
- **Selective Lateral Entry:** Consider lateral entry for critical mission-mode projects and public-sector organizations where private-sector expertise is vital, balancing private and government employees.

CIVIL SERVICES BOARD

A Civil Services Board (CSB) is an administrative body established within a government framework to oversee and make decisions regarding the promotions, postings, and other personnel matters related to civil servants. The primary purpose of a Civil Services Board is to bring transparency, objectivity, and insulation from political interference in the management of civil service officers.

Background and Establishment:

- In 2016, as per the Hota Committee recommendations and the 2nd ARC, states were mandated to form Civil Services Boards (CSBs).
- The Supreme Court, in the T S R Subramanian case (2013), directed the establishment of CSBs at both central and state levels.

Composition:

- Led by the state's Chief Secretary.
- Members include the senior-most additional chief secretary or chairman of the Board of Revenue, the Financial Commissioner, or an officer of similar rank.
- The member secretary is the state government's Principal Secretary or Secretary, Department of Personnel.

Need for CSB:

- Addresses short tenures and frequent transfers of civil servants, allowing for better knowledge and experience.
- Aims to curb corruption, lack of transparency, and negative impact on governance caused by arbitrary promotions and transfers.

Significance:

- Shields civil servants from political pressure, promoting objectivity and term security.
- Fosters good governance by ensuring effective administration with set tenures.

Limitations:

- **Incomplete Compliance:** Only 20 states have established CSBs, with some states not adhering to mandatory rules.
- **Potential Conflict of Interest:** CSBs, led by bureaucrats, may face challenges in maintaining impartiality.
- **Political Interference:** Governments can alter or reject CSB recommendations, impacting the fixed tenure clause.

Government Measures:

- Revision of All India Services Rules and amendments to IAS Cadre Strength Regulations to fix tenures.
- State-specific acts like the “Maharashtra Government Servants Regulation of Transfer and Prevention of Delay in Discharge of Official Duties Act, 2005.”

Conclusion:

- Despite various reports advocating for defined minimum tenures, the government's progress has been slow.
- Emphasizes the need for legislation to safeguard CSB decisions, ensuring the independence of civil services for impartial and unbiased governance.

MISSION KARMAYOGI

The Union government has rolled out the long overdue reform of the Indian bureaucracy. **Mission Karmayogi** - the **National Programme for Civil Services Capacity Building (NPCSCB)** aims to transform capacity-building in the bureaucracy through institutional and process reforms.

According to the government, ‘Mission Karmayogi’ envisages to prepare Indian civil servants for the future by making them more creative, constructive, imaginative, innovative, proactive, professional, progressive, energetic, enabling, transparent and technology enabled.

Need of the Mission:

- **Skill Enhancement:** Bureaucrats need both administrative and domain-specific knowledge. Ensure bureaucrats' skills align with their assigned responsibilities.
- **Continuous Career Development:** Invest in ongoing training and skill development for bureaucrats.
- **Adapting to Economic Growth:** As the economy grows, governance capacities must grow proportionately.
- **Urgent Bureaucratic Reforms:** Critical need for recent reforms to modernize the Indian bureaucracy.

How it works:

- **Digital Training Platform:** The training program will be on a digital platform called iGOT-Karmayogi, offering content from global best practices with an Indian perspective.
- **National Capacity Building Program:** Launching the National Programme for Civil Services Capacity Building (NPCSCB) on this platform to reform individual, institutional, and process-level capacity building.
- **Skill Evaluation Through Courses:** Officers will be assessed based on the courses they take during their career to improve their skills.

- **Online Tracking Database:** An online record will track completed courses, performance, and expertise areas of officers.
- **Accessible Officer Information:** For future vacancies or appointments, authorities can easily access an officer's training history and expertise.



Significance of the Mission:

- **Role-Based Work Allocation:** The program shifts from rule-based to role-based HR management, assigning tasks based on officials' skills matching the job requirements.
- **Holistic Competency Training:** Beyond domain knowledge, the scheme focuses on improving functional and behavioral competencies.
- **Continuous Self-Development:** Civil servants get the chance to enhance behavioral, functional, and domain competencies through self-driven learning paths.
- **Standardized Training Nationwide:** Harmonizes training standards nationwide, ensuring a common understanding of India's goals and aspirations.
- **Future-Ready Civil Service:** Mission Karmayogi aims to build a civil service prepared for the future, with the right attitude, skills, and knowledge in line with the vision of New India.
- **Emphasis on On-Site Learning:** Highlights the importance of on-site learning to complement off-site learning.
- **Adoption of Best Practices:** Encourages collaboration with top-notch content creators, including public institutions, universities, startups, and individual experts.

Mission Karmayogi is vital for modernizing and aligning civil services with 21st-century demands, ensuring a capable and accountable bureaucracy. It signifies a shift in training approach, emphasizing competency-building, personalized learning, and a digital platform. The mission aims to create an agile and responsive civil service aligned with the vision of "Minimum Government, Maximum Governance."



GS FOUNDATION (2023-24) GOVERNANCE HANDOUT 05

Government Policies & Interventions

Government Policies & Interventions and issues arising out of their design.

➤ Public Policy

- ✓ Actions & Decisions made by the government in order to address various issues in the society.
- ✓ Example: National Health Mission; RTI Act, 2005; MGNREGA 2005; GST Act, 2017; E-commerce Policy; Policy to regulate Online Games etc.

➤ Types of Public Policy

- ✓ **Distributive Policies** – policies that target specific individuals or groups [Ex. – Subsidies, Grants for research etc.]
- ✓ **Redistributive Policies** – Policies aimed at promoting social equity or social justice [Income tax, Social security policies]
- ✓ **Regulatory Policies** – policies aimed at restricting or encouraging certain type of behaviour within the society [Environmental Regulations, Consumer Protection etc.]
- ✓ **Constituent Policy** – policies aimed at creating new executive structures such as establishing a new govt. agency [Lokpal, NITI Aayog etc.]

Government Policies & Interventions and issues arising out of their design.

➤ Public Policy : Building Blocks

- ✓ Problem Identification
- ✓ Policy Formulation
- ✓ Decision Making & Adoption
- ✓ Policy Implementation
- ✓ Policy Evaluation

➤ Importance of Public Policy

- ✓ Deliver Public Services
- ✓ Facilitate Order
- ✓ Address various Societal issues
- ✓ Protect Rights
- ✓ Allows participation of people

Government Policies & Interventions and issues arising out of their design.

➤ Policies & Intervention in various Sectors

- ✓ Health
- ✓ Managing Urbanization
- ✓ Industry
- ✓ Infrastructure Connectivity
- ✓ Energy
- ✓ Agriculture & Allied Sector
- ✓ Rural Development
- ✓ MSME
- ✓ Natural Resources & Environment
- ✓ Water & Land Resources
- ✓ Poverty Alleviation

Government Policies & Interventions and issues arising out of their design.

➤ Health Sector

- ✓ Primary
- ✓ Secondary
- ✓ Tertiary
- ✓ Budget - 2% of GDP (FY 2023-24)

Important Govt. Initiatives regarding Health

- ✓ National Health Mission
- ✓ Pradhan Mantri Jan Arogya Yojana (PMJAY – Ayushman Bharat)
- ✓ Pradhan Mantri Swasthya Suraksha Yojana (PMSSY)
- ✓ Pradhan Mantri Swasthya Suraksha Nidhi (PMSSN)
- ✓ Pradhan Mantri Atma Nirbhar Swasth Bharat Yojana (PMANSBY)
- ✓ National Digital Health Mission (NDHM)

Government Policies & Interventions and issues arising out of their design.

National Health Mission

• Components

- ✓ National Rural health Mission
- ✓ National Urban health Mission

• Objective

- ✓ Promote health of Reproductive-Maternal-Neonatal-Adolescent health of Individuals plus communicable & non-communicable diseases.
- ✓ Universal access to equitable, affordable & quality health care services that are accountable & responsive to peoples need.

Government Policies & Interventions and issues arising out of their design.

Goals of National Health Mission

- ✓ MMR – 1/1000 live birth
- ✓ IMR – 25/ 1000
- ✓ TFR – 2.1 %
- ✓ Prevention & reduction of anaemia in women aged 15-49 years
- ✓ Prevent and reduce mortality & morbidity from communicable & non-communicable diseases
- ✓ Reduce out of pocket expenditure
- ✓ Reduce incidence & mortality from tuberculosis by half
- ✓ Reduce prevalence of leprosy by less than one in 10000

Government Policies & Interventions and issues arising out of their design.

Pradhan Mantri Jan Arogya Yojana (PMJAY – Ayushman Bharat)

- ✓ Insurance for poor families up to Rs. 5 lacs / year / family
- ✓ Secondary & tertiary hospitalisation
- ✓ Reduce out of pocket expenditure

Pradhan Mantri Swasthya Suraksha Yojana (PMSSY)

- ✓ To correct regional imbalances in the availability of tertiary healthcare services (AIIMS – Regional)
- ✓ To augment facilities for quality medical education in the country

Government Policies & Interventions and issues arising out of their design.

Pradhan Mantri Swasthya Suraksha Nidhi (PMSSN)

- ✓ Single non-lapsable fund for health
- ✓ Flagship schemes to be funded
- ✓ National Health Mission
- ✓ Ayushman Bharat – PMJAY
- ✓ PMSSY
- ✓ Emergency & disaster preparedness and responses during health emergencies
- ✓ Program that targets SDG's

Pradhan Mantri Atma Nirbhar Swasth Bharat Yojana (PMANSBY)

- ✓ Developing capacities of health systems and institution at all levels - primary, secondary and tertiary
- ✓ Preparing health systems in responding effectively to the current and future pandemics/disasters

Government Policies & Interventions and issues arising out of their design.

National Digital Health Mission (NDHM)

- ✓ Objective - to provide the necessary support for integration of digital health infrastructure in the country
- ✓ Components - Health ID; Digi Doctor; Health Facility Registry; Personal Health Records; Consent manager & gateway etc.

Issues related to health Sector in India

- ✓ Poor Budgetary allocation (app. 2% of GDP)
- ✓ Lack of Infrastructure (Primary, Secondary & Tertiary)
- ✓ Lack of trained manpower (0.7 doctors / 1000 persons; 2.5 doctors per 1000 persons)
- ✓ High out of pocket expenditure
- ✓ Lack of preventive care
- ✓ Overlap & lack of co-ordination between centre & states.

Government Policies & Interventions and issues arising out of their design.

Managing Urbanization

- ✓ Parameters – Population, Population Density & Economic activities
- ✓ UN Report – 2018 to 2050 [450 Million to 875 Million]

Major Policy Interventions

- ✓ Atal Mission for Rejuvenation & Urban Transformation [AMRUT 2.0]
- ✓ Swachh Bharat Mission [2.0]
- ✓ Smart City Mission
- ✓ Pradhan Mantri Awas Yojana [Housing for all]

Government Policies & Interventions and issues arising out of their design.

Swachh Bharat Mission 2.0 & AMRUT 2.0

- ✓ Garbage free status to all cities through 100% source segregation
- ✓ door to door collection & scientific management
- ✓ Safe disposal in scientific landfills
- ✓ Used water management
- ✓ Remediation at dump sites
- ✓ Reduction in single use plastics
- ✓ Open Defection free
- ✓ Social Infrastructure [Parks, Street Lights, Public Transport]

Government Policies & Interventions and issues arising out of their design.

Smart City Mission

- ✓ Urban Mobility
- ✓ Waste & Water management
- ✓ Energy management
- ✓ E-governance & citizen services
- ✓ Housing
- ✓ Sustainable development, Safety & security

Challenges

- ✓ Convergence of various Schemes
- ✓ Special Purpose Vehicles [Lack of Participation]
- ✓ Finances
- ✓ Co-ordination [Centre-State]
- ✓ Urban Problems

Government Policies & Interventions and issues arising out of their design.

**1. Though India's rapid urbanisation presents an economic opportunity it's not without challenges.
Comment [15 Marks]**

Government Policies & Interventions and issues arising out of their design.

Agriculture & Allied sector

- ✓ Importance – 50% workforce & 18% GDP ; Multiplier effect [Poverty & Hunger, Malnutrition; Demand led Growth – Manufacturing & Services]

How to Improve Agriculture or Farmers Income?

- ✓ Agriculture & Allied Activities [Poultry, Dairy, Fisheries etc.]
- ✓ Crop Diversification & Organic Farming [PMKVY]
- ✓ Price Incentives [MSP]
- ✓ Infrastructure & Public Investments [Irrigation (PMKSY), Roads, Cold Storage, Markets, R&D, Insurance (PMFBY)etc.]
- ✓ Rationalise Farm subsidies [Direct Farm Subsidy]

Initiatives in budget 2023

- ✓ Digital public infrastructure for Agriculture [Crop sown data]
- ✓ Agriculture accelerator Fund [Agriculture Entrepreneurship & Innovation]

Government Policies & Interventions and issues arising out of their design.

Industry Sector

- National e-commerce Policy [Draft]
- Online Gaming Sector Regulation

E-commerce

- ✓ Buying & selling of goods over internet [200-300 billion export potential by 2030]
- ✓ E-Commerce policy ecosystem – [Data, Infrastructure Development, Stimulating domestic digital economy, Regulatory issues, Export promotion]
- ✓ Stakeholders – Investors, Manufacturers, MSME's, Traders, retailers, Consumers etc.

Government Policies & Interventions and issues arising out of their design.

Important Aspects of E-commerce Policy [Draft]

- ✓ Objective – to provide conducive environment for inclusive & harmonious growth through streamlined regulatory framework, adoption of modern technology and integration of supply chains & enhancing exports.
- ✓ Regulatory – data Localization; contain sale of counterfeit products, Pirated & Prohibited items.
- ✓ Export through e-commerce

Issues to be addressed

- ✓ Violation of FDI Norms [Marketplace Vs Inventory Model]
- ✓ Co-ordination between multiple legislations & Policies [Consumer protection Act, IT Act & Rules, Competition Commission Act, Digital data protection act, e-commerce policy]

Government Policies & Interventions and issues arising out of their design.

Online Gaming sector – Regulation

- ✓ KPMG report – 650 million users / \$3.5 bn [2025]
- ✓ Proposal – Legislative & Central regulatory framework
- ✓ Reasons for Growth
 - Internet connectivity
 - Smart phone penetration
 - UPI / Digital Payments
 - Socialisation pattern
 - Generational change
- ✓ Why regulation required?
 - Gambling under State List
 - No Proper definition of Gambling – [competition that requires a pre-ponderance of skills to be successful are not gambling]
 - Rummy & Online fantasy games are protected [Art. 19(1)(g)]
 - Negative Impact – Social Behaviour; Physical Health & Compulsive disorder etc.

Government Policies & Interventions and issues arising out of their design.

Proposals under regulatory mechanism

- ✓ Definition – Games of Skill & Chances
- ✓ Implementation of mandatory KYC norms
- ✓ Shutting down unregistered gaming platforms
- ✓ Grievance redressal authority
- ✓ Advertising Guidelines for private channels, digital news publishers & OTT platforms

Advantages

- ✓ Boost Economy
- ✓ Tax resources [28% GST]
- ✓ Foreign Direct Investment
- ✓ Job creation [Gaming publishers, smart phone makers, payment solution providers, network service providers etc.]

Government Policies & Interventions and issues arising out of their design.

2. Do you think regulation of on-line gaming sector is required in the coming times? Explain with reasons & also suggest suitable regulatory framework. [10 Marks]

Government Policies & Interventions and issues arising out of their design.

Energy Sector

- ✓ Energy demand to double by 2040; electricity demand 3 times
- ✓ Renewable energy source – 23%

Positives in Energy Sector [IEA]

- ✓ Large scale renewable energy
- ✓ Open coal mining to private sector
- ✓ Promotion of FDI in Oil & Gas markets
- ✓ Rationalisation of energy subsidies
- ✓ Strong regulators to enforce non-discriminatory access

Government Policies & Interventions and issues arising out of their design.

Energy Sector – Renewable Energy Initiatives

- ✓ Solar Power parks [Ultra Mega Solar Power Projects]
- ✓ PM-KUSUM [de-dieselise the farm sector & provide energy & water security to farmers]
- ✓ Green energy corridors [Inter-state Grid connectivity]
- ✓ Solar Roof top
- ✓ Wind Energy
- ✓ Bioenergy [Urban, Industrial & Agricultural waste]
- ✓ National Green Hydrogen mission

Problems & Policy Interventions

- ✓ Investment & Finances
- ✓ Co-ordination with states
- ✓ High Transmission losses
- ✓ Skewed growth [Solar – Gujarat & Rajasthan; Wind – T.N & Maharashtra]
- ✓ Interventions – Sovereign bond by govt.; Investor friendly Policy etc. [Net Zero emission target – 2070]

Government Policies & Interventions and issues arising out of their design.

Infrastructure Connectivity Sector

- ✓ Lifeline of Indian economy
- ✓ India – 4.3 % GDP compared to China – 20 % of GDP
- ✓ Challenges – [Implementation delays, Cost overrun due to bureaucratic delays, complicated land acquisition, lack of centre-state coordination, Financing etc.]
- ✓ Interventions – [Policies to minimise delays (Online Computerised Monitoring System – OCMS; Simplify compliance & procedures; Improve Transparency; Simplification of land acquisition; PPP models etc.)]

PM Gati Sakthi National Master Plan

- ✓ Objective – cut down logistic cost & enable cargo handling capacity by improving multi-modal connectivity.
- ✓ Bharatmala, Sagarmala, Bharat Net, UDAN etc.

Advantages

- ✓ Promote manufacturing & modernise infrastructure; Promote investment & global competitiveness; promote export etc.

Government Policies & Interventions and issues arising out of their design.

Rural Development Sector

- ✓ Holistic & multi-pronged strategy – poverty alleviation, infrastructure, access to education & health care, livelihood mission, skill development, agrarian reforms, women empowerment etc.
- ✓ Key Interventions
 - Deendayal Antyodaya Yojana - National Rural Livelihoods Mission (DAY-NRLM)
 - Deen Dayal Upadhyaya Grameen Kaushalya Yojana (DDU-GKY)
 - Pradhan Mantri Gram Sadak Yojana (PMGSY)
 - Saansad Adarsh Gram Yojana (SAGY)
 - Pradhan Mantri Awaas Yojana-Gramin (PMAY-G)
 - Shyama Prasad Mukherji Rurban Mission (SPMRM)
 - Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA)
 - National Social Assistance Programme (NSAP)

Government Policies & Interventions and issues arising out of their design.

3. Rural development in India is crucial not only for the well being of the rural population but also for overall socio-economic progress of the country. However, rural development in our country requires a comprehensive & an integrated approach. Elaborate [15 marks]

Government Policies & Interventions and issues arising out of their design.

MSME Sector

✓ Classification – Investment & Turnover

- < 1 Cr & < 5 Cr
- < 10 Cr & < 50 Cr
- < 50 Cr & < 250 Cr

✓ Significance

- 1/3rd GDP; 110 Million Jobs; 1/3rd manufacturing products; 2/5th exports

✓ Issues

- Access to Credit [NBFC or MFI]
- Lack of formalisation
- Technological disruptions [AI, Robotics, Data Analytics etc]
- Regulatory Hurdles [Labour laws, compliance etc.]

Government Policies & Interventions and issues arising out of their design.

Government Interventions

- ✓ Access to Credit – Credit Guarantee Scheme
- ✓ Infrastructure & Capacity building – [MSE – Cluster Development Program]
- ✓ Procurement Policy – 25%
- ✓ Marketing Support – [Training, Portal etc.]
- ✓ Access to Technology – [Technology Centre]
- ✓ Skilling
- ✓ Promotion of Khadi, Village Industries & Coir
- ✓ RAMP Program [Raising & Accelerating MSME Performance – Credit access, centre & state coordination, addressing delayed payments etc.]

PM Vishwakarma Scheme

- ✓ central sector scheme for holistic development of artisan & craftsman [18 categories]
- ✓ Focus Area – Free Credit, Skill Upgradation (incentives); Tool Kit incentives; Incentive for digital transaction; Marketing platform (GeM)

Government Policies & Interventions and issues arising out of their design.

4. The MSME ministry implements various schemes and programmes aimed at promotion and development of the sector in the country. Highlight the potential of the sector in accelerating economic growth and interventions made by the government in this regard. [10 Marks]

Government Policies & Interventions and issues arising out of their design.

Natural Resources & Environment

- ✓ **Objective** – formulation of policies & strategies for sustainable management of forests, protection of wildlife & habitats, maintenance of a clean, green & healthy environment, mitigation of climate change.
- ✓ **e-waste management**
 - electrical or electronics equipment that is discarded
 - E-waste management rules, 2022
 - Extended producer responsibility [EPR]

Government Policies & Interventions and issues arising out of their design.

Water & Land Resources Sector

- ✓ **18% population & 4% ground water resource**
- ✓ **Atal Bhujal Yojana**
 - Ground water conservation through community participation
 - 7 states – Implementation [over-exploited & Water Stressed]
 - Components – capacity building & Incentives

Government Policies & Interventions and issues arising out of their design.

Poverty Alleviation

- ✓ Definition - State or condition in which a person lacks financial resources & the other essentials for certain standard of living.
- ✓ State of deprivation of wellbeing & comprises of multiple dimensions (low Income, Health & Education, Lack of opportunities & Social Security, Poor access to facilities like clean drinking water, health facilities etc.) – World Bank

Causes for Poverty in India (World Bank)

- Poor Health Services (Vicious cycle)
- Child Malnutrition & undernourishment
- Insufficient Education & Training
- Inequality
- Population Growth
- Low Agricultural Productivity
- Unemployment
- Low rate of economic development
- Environmental Degradation
- Corruption

Government Policies & Interventions and issues arising out of their design.

Govt. Initiatives to eradicate Poverty

- Mahatma Gandhi National Rural Employment Guarantee Act, 2005
- National Rural Livelihood Mission (2011)
- Deendayal Antyodaya Yojana – National Urban Livelihood Mission (DAY-NULM - 2013)
- Saansad Aadarsh Gram Yojana (SAGY - 2014)
- Pradhan Mantri Ujjwala Yojana (PMUJ - 2016)
- National Health Mission (NHM – 2013)
- National Social Assistance Scheme

Government Policies & Interventions and issues arising out of their design.

MGNREGA, 2005

Objective

- ✓ ensure livelihood security in rural areas
- ✓ create durable rural assets
- ✓ Increase economic security & reduce rural to urban migration

Positive outcomes

- ✓ Reduction in gender inequality
- ✓ Purchasing powers & access to basic needs

Problems

- ✓ Delay in payments
- ✓ Large number of incomplete & poor quality assets created
- ✓ Malpractices & corruption
- ✓ Insufficient involvement of PRI's